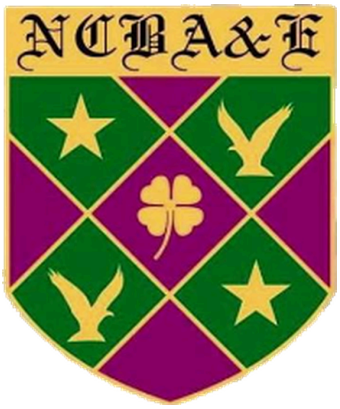



**NATIONAL COLLEGE OF BUSINESS ADMINISTRATION & ECONOMICS**

Front Lane Campus, Lahore

**FINAL YEAR PROJECT REPORT**

# SmartSplit & ExpenseAI

*An AI-Assisted Personal Finance Manager and Group Expense Settlement System using Min-Cash-Flow Optimisation*

Submitted by

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A report submitted in partial fulfilment of the requirements for the award of the Bachelor of Science degree (BSCS and BSITM programmes)

**Department of Computer Science**

National College of Business Administration & Economics, Front Lane Campus, Lahore

Session [Session] · October 2026

# DECLARATION

We, **Muhammad Azeem** (Roll No. BSCSvb-f24152), **Chanda Safdar** (Roll No. BSCS-vb-f24-133) and **Saba** (Roll No. BSITM-f24-25), hereby declare that this project report titled "*SmartSplit & ExpenseAI: An AI-Assisted Personal Finance Manager and Group Expense Settlement System using Min-Cash-Flow Optimisation*" is our own work and has not been submitted, in whole or in part, for any other degree or qualification at this or any other institution. All sources of information used in this report have been duly acknowledged and referenced.

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# CERTIFICATE OF APPROVAL

It is certified that the project report titled "*SmartSplit & ExpenseAI: An AI-Assisted Personal Finance Manager and Group Expense Settlement System using Min-Cash-Flow Optimisation*" submitted by **Muhammad Azeem** (Roll No. BSCSvb-f24152), **Chanda Safdar** (Roll No. BSCS-vb-f24-133) and **Saba** (Roll No. BSITM-f24-25) has been examined and found satisfactory in partial fulfilment of the requirements for the award of the Bachelor of Science degree (BSCS and BSITM programmes) at the Department of Computer Science, National College of Business Administration & Economics, Front Lane Campus, Lahore.

| | |
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# ABSTRACT

Managing money is a daily problem for students, young professionals and households in Pakistan. Personal spending is usually tracked in notebooks or not at all, and shared costs on trips or in shared flats lead to long chains of small, confusing repayments. Widely used tools are either designed for foreign markets, keep key features behind paid plans, or treat personal finance and group splitting as two separate products.

This project presents **SmartSplit & ExpenseAI**, a full-stack web application that combines both needs in one account. The personal workspace records income and expenses in Pakistani rupees, applies monthly category budgets, generates recurring bills automatically, and reads printed receipts using a vision language model, with Tesseract.js as an offline fallback. Every extracted line is verified by the user in a human-in-the-loop dialog before it is saved, and verified items are compared against a local benchmark of 100 grocery products to suggest cheaper alternatives. The group workspace supports multi-payer expenses, four split methods (equal, exact, percentage and line item) and a settlement engine based on the greedy Min-Cash-Flow algorithm, which guarantees that a group of V members is settled in at most $V - 1$ payments.

The system is built on the MERN stack (MongoDB, Express, React and Node.js) and exposes 60 REST endpoints. Money is stored as integer rupees, balances are always recomputed from expenses by database aggregation, and every group request is authorised on the server. Authentication uses short-lived JSON Web Tokens with rotating refresh tokens and Google OAuth 2.0. The implementation is verified by 229 automated unit, API and property-based tests, all passing. On the demonstration trip of five members and seven expenses, the settlement engine reduced 20 naive pairwise debts to 4 payments.

**Keywords:** expense management, debt simplification, Min-Cash-Flow, greedy algorithm, receipt OCR, vision language model, MERN stack, JWT

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# LIST OF ABBREVIATIONS

| Abbreviation | Meaning |
|---|---|
| API | Application Programming Interface |
| CORS | Cross-Origin Resource Sharing |
| CSV | Comma-Separated Values |
| ERD | Entity Relationship Diagram |
| FR | Functional Requirement |
| FYP | Final Year Project |
| HTTP(S) | Hypertext Transfer Protocol (Secure) |
| JSON | JavaScript Object Notation |
| JWT | JSON Web Token |
| LLM | Large Language Model |
| MCF | Min-Cash-Flow |
| MERN | MongoDB, Express, React, Node.js |
| NFR | Non-Functional Requirement |
| OAuth | Open Authorization |
| OCR | Optical Character Recognition |
| ODM | Object Document Mapper |
| OWASP | Open Worldwide Application Security Project |
| PDF | Portable Document Format |
| PKR | Pakistani Rupee |
| REST | Representational State Transfer |
| SPA | Single-Page Application |
| SSO | Single Sign-On |
| TTL | Time To Live |
| UI | User Interface |
| XLSX | Office Open XML Spreadsheet |
| XSS | Cross-Site Scripting |

# CHAPTER 1
# INTRODUCTION

This chapter introduces the problem domain, states the problem addressed by the project, and sets out its objectives, scope, significance and development methodology. It closes with an outline of the remaining chapters.

## 1.1 Background

Personal financial management is the routine of recording income and expenditure, comparing it with a plan, and adjusting behaviour. Research and everyday experience agree that people who track their spending make better financial decisions, yet most people find manual tracking tedious and stop after a few weeks. Receipts are lost, small cash purchases are forgotten, and categories are applied inconsistently.

A second, closely related problem appears whenever costs are shared. University trips, shared flats, weddings and office events produce many bills paid by different people for different subsets of the group. At the end, each participant needs to know how much they owe or are owed, and the group needs a practical way to settle. Settling every bill separately produces many small transfers; with mobile wallets such as JazzCash and Easypaisa and the State Bank of Pakistan's instant payment system Raast [19], each transfer is easy, but the number of transfers and the confusion about who has already paid remain the real cost.

Recent advances make a better solution practical. Vision language models can read photographs of printed receipts and return structured data, and established algorithms can reduce a web of debts to a small set of payments [1]. Modern web frameworks allow both capabilities to be delivered in a responsive application that works on any phone or laptop browser without installation.

## 1.2 Problem Statement

Existing tools address personal tracking and group splitting separately, require manual entry of every item, rarely support Pakistani payment methods or price references, and do not explain how settlement payments are derived. As a result, users must maintain two systems, re-type receipt contents by hand, and settle group debts through more transfers than necessary.

The project therefore addresses the following question: *how can a single, secure web application help users record personal and shared expenses with minimal manual effort, guarantee that every rupee is accounted for exactly, and settle group debts with the fewest practical number of payments?*

## 1.3 Objectives

The objectives of the project are to:

1. Design and implement a personal workspace for recording income and expenses in PKR with categories, local payment methods, monthly budgets and automatically generated recurring entries.
2. Implement AI-assisted receipt scanning that extracts line items from a photo using a vision language model, falls back to offline OCR, and requires human verification before saving.
3. Suggest savings by matching verified receipt items against a local benchmark of market prices.
4. Implement a group workspace with role-based membership, multi-payer expenses and four split methods that always sum exactly to the bill total.
5. Implement a settlement engine based on the greedy Min-Cash-Flow algorithm that settles a group of V members in at most V − 1 payments, and demonstrate the reduction compared with naive repayment.
6. Provide reports, charts and CSV, Excel and PDF exports for both workspaces.
7. Secure the system with industry-standard authentication, authorisation, input validation and rate limiting.
8. Verify correctness through automated unit, API and property-based tests.

## 1.4 Scope

**In scope.** A responsive web application for individual users and small groups (trips, flats and events of roughly 2 to 20 members); amounts in Pakistani rupees; email/password and Google sign-in; receipt photos in JPG or PNG format up to 8 MB; price benchmarks for common grocery products from three Pakistani retail platforms; deployment on free cloud tiers.

**Out of scope.** Moving money between accounts (users pay through their own wallet or bank and then mark the payment as paid), bank account synchronisation, multi-currency conversion, native mobile applications, live web scraping of prices, and tax or investment features.

## 1.5 Significance of the Project

- **For users:** one account covers personal and shared money; receipts are captured in seconds; groups settle with the minimum practical number of transfers.
- **For the local context:** PKR formatting, JazzCash, Easypaisa and Raast as first-class payment methods, and prices from Pakistani retailers.
- **Academically:** the project applies a graph-based greedy algorithm with a provable bound, integer arithmetic for financial correctness, human-in-the-loop AI, fuzzy string matching and secure token-based authentication in a single coherent system.

## 1.6 Development Methodology

The system was developed using the **incremental model** [20]. The work was divided into ten increments (Phases 0 to 9), each delivering a usable slice of functionality. Every increment followed the same cycle: refine the requirements, implement, write automated tests, and record a phase report before the next increment began. Core money logic (split calculation and settlement) was written test-first. Figure 1.1 shows the increments.

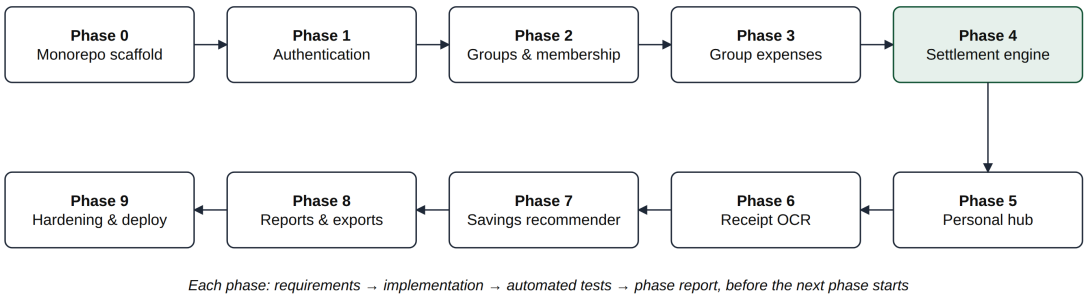



**Figure 1.1:** Incremental development phases of the project

The incremental model was preferred over the waterfall model because later features (OCR, savings suggestions and reports) depend on earlier ones (authentication, groups and expenses), and delivering each layer fully tested reduced the risk of defects compounding across the system.

## 1.7 Organisation of the Report

Chapter 2 reviews existing systems and the relevant literature. Chapter 3 specifies the requirements. Chapter 4 presents the system design, including architecture, database and algorithms. Chapter 5 describes the implementation and user interface. Chapter 6 reports testing and evaluation. Chapter 7 concludes and outlines future work. Appendices provide the API reference, a user manual and an installation guide.

# CHAPTER 2
# LITERATURE REVIEW

This chapter reviews existing applications for personal and group expense management, the algorithmic background of debt simplification, techniques for receipt text extraction and product matching, and the security standards used by modern web applications. It concludes by identifying the gap addressed by this project.

## 2.1 Personal Finance Management Applications

Personal finance applications such as Wallet by BudgetBakers [17] and many similar budgeting apps allow users to record transactions, group them into categories and compare them against budgets. Spreadsheets remain the most common free alternative. These tools are effective for disciplined users, but entry is largely manual and they are not designed for splitting costs with other people. Support for Pakistani payment methods and local price references is limited.

## 2.2 Group Expense Splitting Applications

Splitwise [15] and Tricount [16] are widely used for shared expenses. Both record who paid for what, compute balances and propose repayments; Splitwise offers a "simplify debts" option that reduces the number of repayments. Advanced features such as itemised receipt entry are offered in paid tiers in some products. These applications focus on the group and do not provide a full personal budgeting workspace, so users who want both must use two separate systems.

## 2.3 Debt Simplification Algorithms

A set of shared expenses can be modelled as a directed weighted graph in which an edge from A to B of weight w means that A owes B an amount w. Only each person's **net balance** (total paid minus total owed) matters for settlement: any set of payments that brings every net balance to zero is a valid settlement. Verhoeff [1] analyses this problem in detail and shows that finding the absolute minimum number of payments is computationally hard, since it requires partitioning the members into the largest possible number of zero-sum subgroups, which is related to the NP-complete subset-sum problem [2].

The practical alternative is a **greedy** strategy: repeatedly match the largest creditor with the largest debtor and transfer the smaller of the two amounts. Each transfer clears at least one person, so a group of V members needs at most V − 1 payments [1], [3]. This bound is tight in general and the method runs in polynomial time, which makes it the standard choice in practice. This project adopts the greedy Min-Cash-Flow method and reports its result against the naive pairwise approach.

## 2.4 Receipt Text Extraction (OCR)

Traditional OCR engines such as Tesseract [4] segment an image into lines and characters and recognise them using trained models. They work offline and at no cost, but return unstructured text; a separate rule-based step is needed to identify item names, quantities and prices, and accuracy drops on crumpled, faded or photographed receipts. Vision language models accept an image directly and can be instructed to return a fixed JSON structure, which removes the need for hand-written parsing rules and handles varied layouts better [14]. Because any automated extraction can misread digits, financial applications should keep a human in the loop to confirm results before they affect stored balances.

## 2.5 String Similarity for Product Matching

Receipt item names are abbreviated and inconsistent ("COOKING OIL 3LTR", "Cooking Oil 3 Litre"). The Sørensen–Dice coefficient [5] measures the similarity of two strings as twice the number of shared character bigrams divided by the total number of bigrams, giving a score between 0 and 1. It is simple, fast and robust to small differences in word order and spelling, which makes it suitable for matching receipt text against a product catalogue after normalisation.

## 2.6 Web Application Security

The OWASP Top 10 [9] lists the most critical web application risks, including broken access control, cryptographic failures, injection and identification and authentication failures. JSON Web Tokens [6] allow a server to issue signed, self-contained access tokens; keeping them short-lived and pairing them with rotating refresh tokens limits the damage of a stolen token. OAuth 2.0 [7] enables sign-in through an identity provider such as Google without the application handling the user's password. Passwords that are stored must be hashed with a deliberately slow, salted algorithm such as bcrypt [8]. For financial values, binary floating-point arithmetic introduces representation errors [10], so amounts should be stored as integers of the smallest currency unit.

## 2.7 Comparison with Existing Systems

Table 2.1 compares the proposed system with representative existing tools, based on their publicly documented features at the time of writing.

**Table 2.1:** Comparison of the proposed system with existing tools

| Feature | Spreadsheet | Wallet | Splitwise | Tricount | Proposed |
|---|---|---|---|---|---|
| Personal income/expense tracking | Manual | Yes | Limited | No | Yes |
| Monthly category budgets | Manual | Yes | No | No | Yes |
| Group expense splitting | Manual | No | Yes | Yes | Yes |
| Debt simplification | No | No | Yes | Yes | Yes, with V−1 bound shown |
| Itemised receipt OCR | No | Limited | Paid tier | Limited | Yes, human-verified |
| Price comparison / savings tips | No | No | No | No | Yes |
| JazzCash / Easypaisa / Raast | Manual | Limited | No | No | Yes |
| Personal and group in one account | Manual | No | No | No | Yes |

## 2.8 Research Gap

The review shows that no single, free tool combines personal budgeting, AI-assisted and human-verified receipt capture, local price comparison and group settlement with a stated payment bound, for the Pakistani context. SmartSplit & ExpenseAI is designed to fill this gap, while applying established results from algorithms, OCR, string matching and security engineering.

# CHAPTER 3
# REQUIREMENTS ANALYSIS

This chapter identifies the users of the system and specifies its functional and non-functional requirements, use cases, business rules, and hardware and software requirements.

## 3.1 Users and Stakeholders

**Table 3.1:** User roles of the system

| Role | Description |
|---|---|
| Guest | An unauthenticated visitor who can register, sign in (email or Google) and reset a forgotten password. |
| Registered user | Owns a private personal workspace (transactions, budgets, receipts, reports) and may belong to any number of groups. |
| Group member | An active member of a group who can view its expenses and balances, add expenses, preview and record settlements, and mark payments as paid. |
| Group admin | A member with management rights: edit group settings, add, invite or remove members, approve join requests and rotate the share code. The creator of a group is its first admin. |
| External services | Vision AI (receipt extraction), Cloudinary (image storage), Google OAuth (sign-in), SMTP (email) and the nightly scheduler. |

## 3.2 Functional Requirements

**Table 3.2:** Functional requirements

| ID | Module | Requirement |
|---|---|---|
| FR-01 | Accounts | The system shall allow users to register and sign in with email and password. |
| FR-02 | Accounts | The system shall allow users to sign in with Google OAuth 2.0 and link it to an existing account with the same email. |
| FR-03 | Accounts | The system shall provide password reset through a single-use emailed link that expires after 30 minutes. |
| FR-04 | Accounts | The system shall allow users to update their profile and change their password. |
| FR-05 | Personal | The system shall allow users to record money received (credit) and spent (debit) with title, amount, date, category, payment method and note. |
| FR-06 | Personal | The system shall provide seven built-in categories (Food, Utilities, Travel, Shopping, Healthcare, Housing, Misc) and allow user-defined categories. |

| ID | Module | Requirement |
|---|---|---|
| FR-07 | Personal | The system shall support the payment methods Cash, Bank Transfer, Card, JazzCash, Easypaisa and Raast. |
| FR-08 | Personal | The system shall allow a monthly budget cap per category and show consumption as green (< 80%), amber (80–99%) or red (≥ 100%). |
| FR-09 | Personal | The system shall generate weekly or monthly recurring transactions automatically, including any periods missed while the server was offline. |
| FR-10 | Personal | The system shall show a monthly summary: received, spent, remaining, comparison with the previous month and spending per category. |
| FR-11 | Receipts | The system shall accept a receipt photo (JPG/PNG, up to 8 MB) and process it in the background. |
| FR-12 | Receipts | The system shall extract store, date, line items and total using a vision AI model, and fall back to offline OCR if the model is unavailable. |
| FR-13 | Receipts | The system shall present extracted lines for user verification and editing, and warn when the lines and the printed total differ by more than 5%. |
| FR-14 | Receipts | The system shall save a verified receipt as a personal transaction or as a pre-filled line-item group expense. |
| FR-15 | Savings | The system shall compare verified items with benchmark prices and show cheaper alternatives and the total potential saving. |
| FR-16 | Groups | The system shall allow users to create groups (trip, home, event, other) and become their admin. |
| FR-17 | Groups | The system shall support joining a group by direct add, single-use email invite link, or share code with admin approval. |
| FR-18 | Groups | The system shall record group expenses paid by one or more members. |
| FR-19 | Groups | The system shall split expenses equally, by exact amounts, by percentage, or by line item, with live validation messages. |
| FR-20 | Groups | The system shall display each member's net balance, recomputed from all expenses and paid settlements. |
| FR-21 | Settlement | The system shall preview the optimised payment list without saving, showing naive debt count versus optimised payment count. |
| FR-22 | Settlement | The system shall record a settlement, mark the group as settled, and keep an audit log entry. |
| FR-23 | Settlement | The system shall allow each payment to be marked as paid, updating balances immediately. |
| FR-24 | Reports | The system shall provide monthly and six-month personal reports and group summary reports with charts. |
| FR-25 | Reports | The system shall export transactions and group reports as CSV, Excel (XLSX) and PDF. |

| ID | Module | Requirement |
|---|---|---|
| FR-26 | Notifications | The system shall notify group members when an expense is added, a member joins, a settlement is created or a payment is marked paid. |

## 3.3 Non-Functional Requirements

**Table 3.3:** Non-functional requirements

| ID | Quality | Requirement |
|---|---|---|
| NFR-01 | Correctness | All monetary values shall be integer rupees; every expense shall satisfy sum(splits) = total; group balances shall always sum to zero. |
| NFR-02 | Security | Passwords shall be hashed with bcrypt (cost 12); access tokens shall expire in 15 minutes; refresh tokens shall rotate and be stored only as hashes in an HttpOnly cookie. |
| NFR-03 | Security | Every group request shall verify active membership on the server; every request body shall be validated; authentication endpoints shall be rate limited. |
| NFR-04 | Performance | Receipt upload shall respond immediately (HTTP 202) and process in the background; savings matching shall never block the user interface. |
| NFR-05 | Reliability | OCR shall fall back to an offline engine; a failed notification shall never fail a money operation. |
| NFR-06 | Usability | Every list shall have loading, empty and error states; forms shall validate inline with human-readable messages; amounts shall display as "Rs 4,200". |
| NFR-07 | Portability | The application shall run in current desktop and mobile browsers and adapt to screens from 360 px wide. |
| NFR-08 | Maintainability | Business logic shall live in pure, testable service modules; the API shall use consistent response envelopes. |
| NFR-09 | Privacy | Receipt images shall be stored privately and served through signed URLs that expire after one hour. |

## 3.4 Use Case Diagrams

Figures 3.1 and 3.2 present the use cases of the account and personal workspace and of the group workspace respectively.

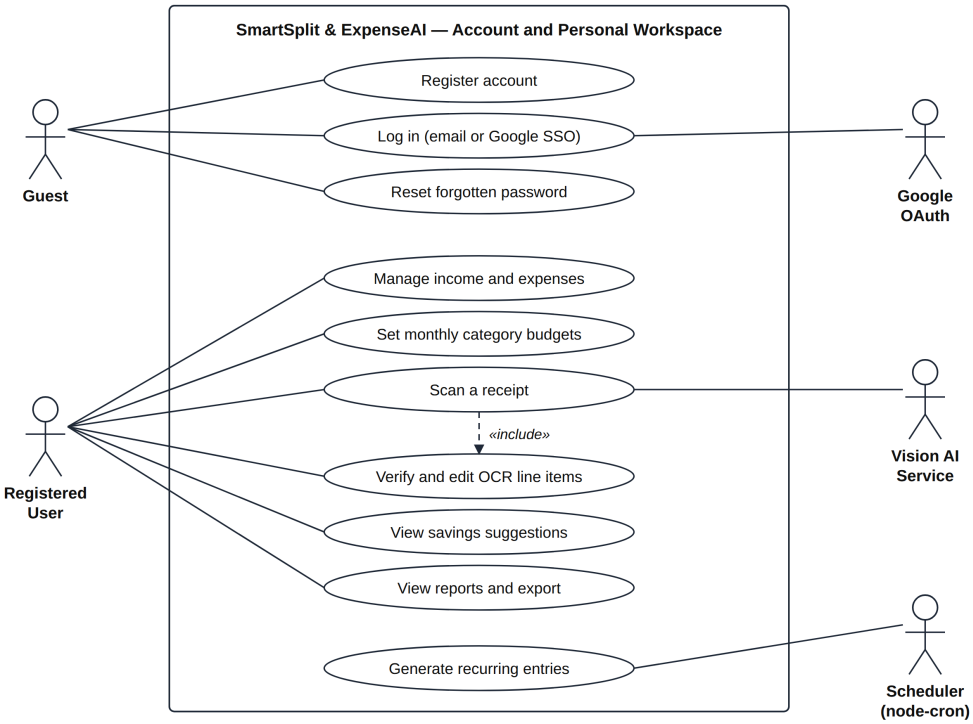



**Figure 3.1:** Use case diagram — account and personal workspace

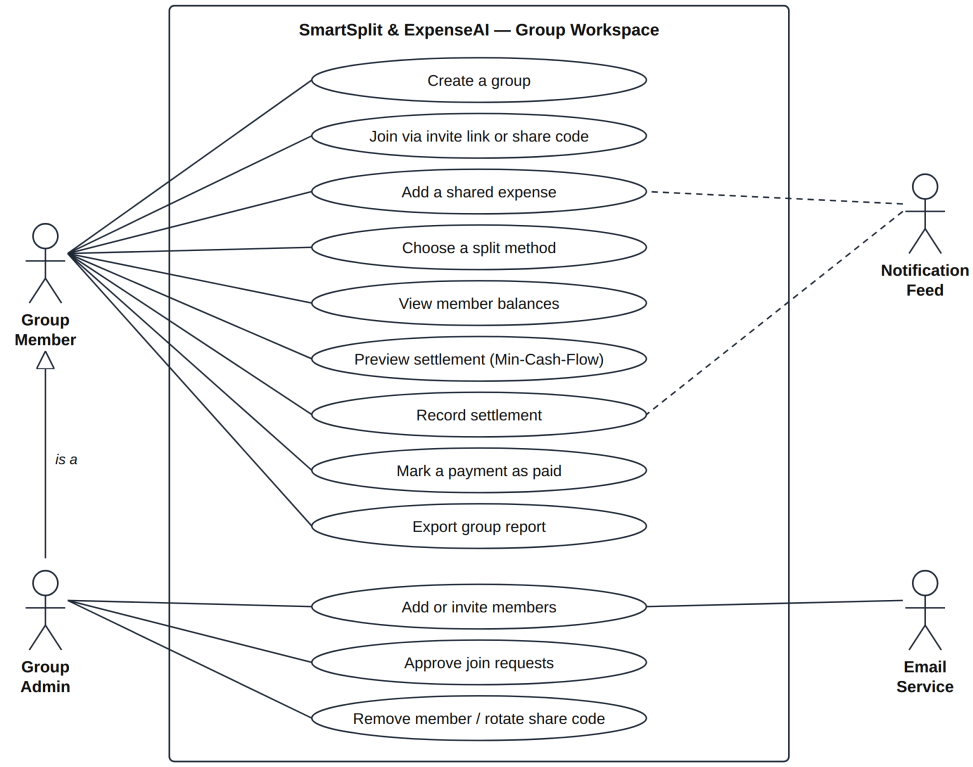



**Figure 3.2:** Use case diagram — group workspace

## 3.5 Use Case Descriptions

The three most important use cases are described below in tabular form.

**Table 3.4:** Use case UC-01: Add a shared expense

| | |
|---|---|
| **Use case ID** | UC-01 |
| **Name** | Add a shared expense |
| **Actor** | Group member |
| **Precondition** | The user is signed in and is an active member of the group. |
| **Main flow** | 1. The user opens Add Expense and selects the group.<br>2. The user enters title, amount, date and category.<br>3. The user selects one or more payers and their amounts.<br>4. The user selects a split method and fills in the shares.<br>5. The system validates the input live and enables Save.<br>6. The server validates the input again, computes the splits, stores the expense and notifies other members. |
| **Alternate flow** | 5a. Payers do not cover the total, exact amounts do not add up, or percentages do not total 100%: the system shows a message such as "You're Rs 50 short" and keeps Save disabled. |
| **Postcondition** | The expense is stored with sum(splits) = total, and the group balances reflect it. |

**Table 3.5:** Use case UC-02: Settle up a group

| | |
|---|---|
| **Use case ID** | UC-02 |
| **Name** | Settle up a group |
| **Actor** | Group member |
| **Precondition** | The group has at least one non-zero balance and no unpaid settlement in progress. |
| **Main flow** | 1. The user opens Settle Up.<br>2. The system shows the naive pairwise debts.<br>3. The user selects "Simplify with Min-Cash-Flow".<br>4. The system computes and displays the optimised payments and the number of transfers saved, without saving anything.<br>5. The user selects "Record settlement".<br>6. The system stores one settlement row per payment, marks the group as settled and writes an audit log entry. |
| **Alternate flow** | 4a. Nobody owes anything: the system reports "nothing to settle".<br>6a. A settlement is already in progress: the system refuses with a conflict message. |
| **Postcondition** | Payments are recorded; when each is marked paid, the corresponding balances return to zero. |

**Table 3.6:** Use case UC-03: Scan and verify a receipt

| | |
|---|---|
| **Use case ID** | UC-03 |
| **Name** | Scan and verify a receipt |
| **Actors** | Registered user, Vision AI service |
| **Precondition** | The user is signed in and has a photo of a printed receipt. |
| **Main flow** | 1. The user uploads or captures a photo.<br>2. The system stores the image and replies immediately.<br>3. The vision AI extracts store, date, items and total in the background.<br>4. The system shows the verification dialog with the image and editable lines.<br>5. The user corrects, adds or removes lines and confirms.<br>6. The system saves a personal transaction (or prepares a line-item group expense) and later attaches savings suggestions. |
| **Alternate flow** | 3a. The AI is unavailable: Tesseract.js extracts the lines offline.<br>4a. Lines and printed total differ by more than 5%: a warning shows both values. |
| **Postcondition** | Only user-verified data is stored. |

## 3.6 Business Rules

**Table 3.7:** Business rules enforced by the system

| ID | Rule |
|---|---|
| BR-01 | Money is stored and calculated as integer rupees; fractional amounts are rejected. |
| BR-02 | Every expense satisfies sum(splits.share) = totalAmount and sum(paidBy.amount) = totalAmount. |
| BR-03 | Rounding remainders are assigned to the payer (the largest payer when there are several). |
| BR-04 | Balances are always computed from expenses and paid settlements; they are never stored as running totals. |
| BR-05 | Settlement uses greedy max-matching on net balances and produces at most V − 1 payments that bring all balances to zero. |
| BR-06 | Every group route verifies, on the server, that the requesting user is an active member; client-sent identifiers are never trusted. |
| BR-07 | OCR results are never saved automatically; the user verifies every line first. |
| BR-08 | Price suggestions read the local benchmark collection first and never block the user interface. |

## 3.7 Hardware and Software Requirements

**Table 3.8:** Hardware and software requirements

| Item | Development | End user |
|---|---|---|
| Processor / memory | Dual-core CPU, 8 GB RAM | Any device able to run a modern browser |

| Item | Development | End user |
|---|---|---|
| Operating system | Linux, Windows or macOS | Any (Android, iOS, Windows, macOS, Linux) |
| Runtime | Node.js 20 or later, npm | Not required |
| Database | MongoDB 7 (local Docker) or MongoDB Atlas | Not required |
| Browser | Google Chrome (development and testing) | Chrome, Edge, Firefox or Safari (current versions) |
| Network | Internet for AI, image storage and Google sign-in | Internet connection |
| Tools | Visual Studio Code, Git, GitHub, Docker | None |

# CHAPTER 4
# SYSTEM DESIGN

This chapter describes the architecture of the system, its database design, the algorithms at its core, the receipt processing pipeline, the security design and the API conventions.

## 4.1 System Architecture

The system follows a three-tier client–server architecture (Figure 4.1). The **presentation tier** is a React single-page application that runs in the browser. The **application tier** is a stateless REST API [11] built with Node.js and Express. The **data tier** consists of MongoDB and a set of external services. The browser never communicates with the database or the AI service directly: every request passes through the server's security checks.

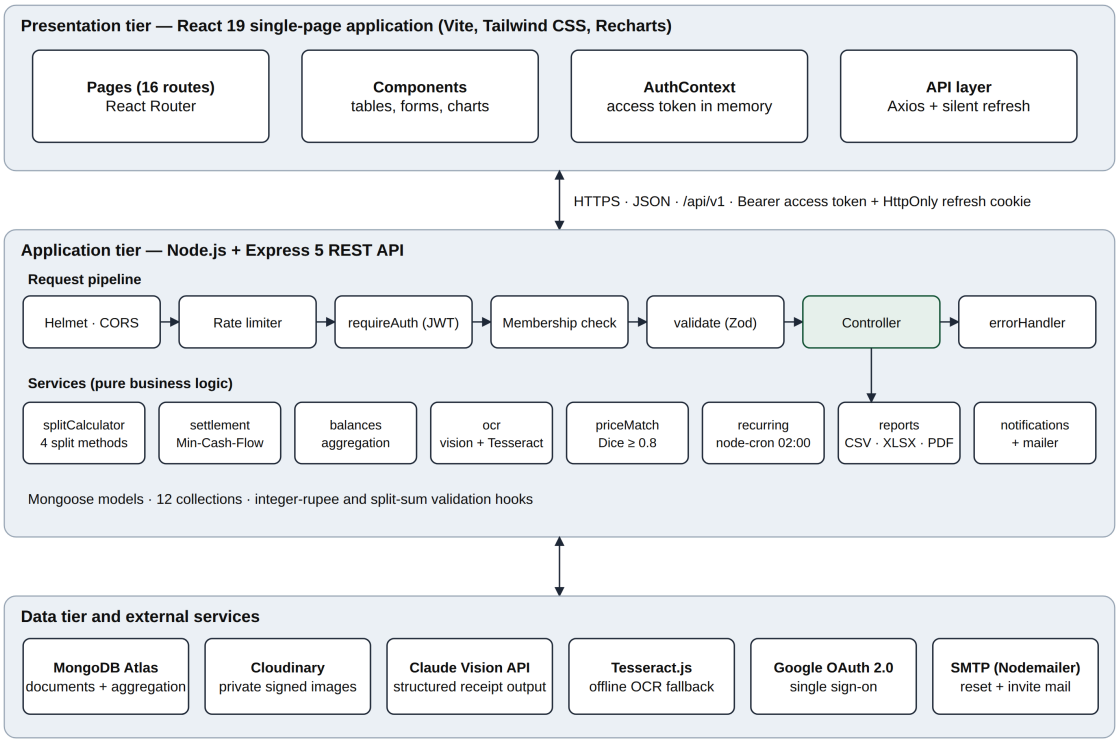



**Figure 4.1:** Three-tier architecture of SmartSplit & ExpenseAI

Each request passes through a fixed pipeline of middleware before it reaches a controller: security headers and CORS (Helmet), rate limiting, JWT authentication, group membership or admin checks, and Zod schema validation. Controllers are thin; the business logic lives in pure service modules (split calculation, settlement, balances, OCR,

price matching, recurring entries, reports and notifications) that can be tested without a web server. Errors from any layer are converted by a single error handler into a consistent response envelope.

## 4.2 Database Design

MongoDB, a document database, was chosen because the central entity, a group expense, naturally contains nested lists: several payers, several split shares and several line items. Storing these inside one document means an expense is read and written atomically in a single operation. Mongoose [21] adds schemas, validation and indexes on top of MongoDB. Figure 4.2 shows the entity relationship diagram of the twelve collections.

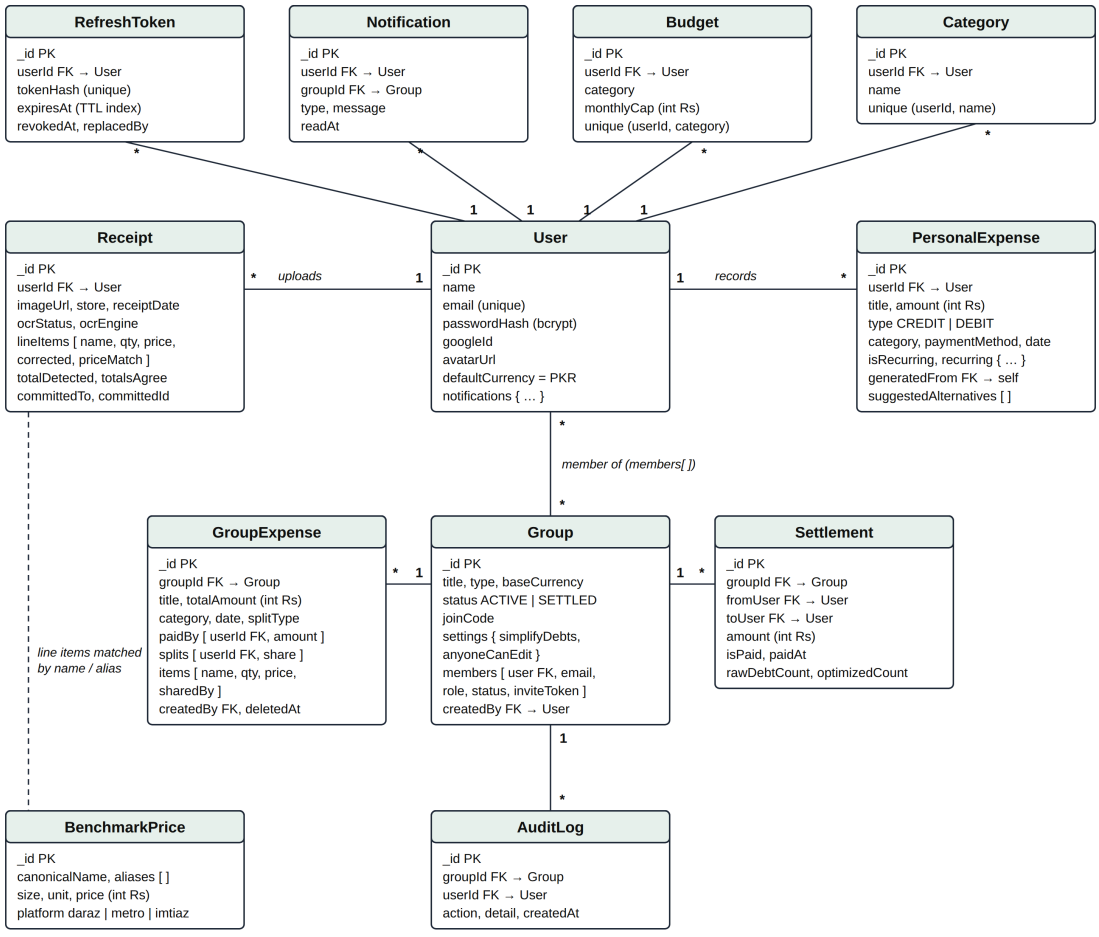



**Figure 4.2:** Entity relationship diagram

**Table 4.1:** Collections and their purpose

| Collection | Purpose and key constraints |
|---|---|
| User | Account details; unique email; bcrypt password hash (never returned to the client); optional Google ID. |

| Collection | Purpose and key constraints |
|---|---|
| RefreshToken | One row per session; stores only the SHA-256 hash of the token; TTL index removes expired rows automatically. |
| Group | Group details and an embedded members array (role admin/member; status active/pending/requested); share code. |
| GroupExpense | Expense with paidBy, splits and items arrays; a validation hook rejects any document whose shares do not sum to the total; soft delete via deletedAt. |
| Settlement | One planned payment (from, to, amount, paid flag) plus the naive and optimised payment counts. |
| AuditLog | Append-only record of important group actions such as settlement creation. |
| PersonalExpense | Personal credit or debit; recurring template settings; generatedFrom links generated copies to their template. |
| Budget | Monthly cap per category per user; unique on (userId, category). |
| Category | User-defined categories; unique per user, case-insensitive. |
| Receipt | Image reference, OCR status and engine, extracted line items with correction flags and price matches. |
| BenchmarkPrice | Product name, aliases, pack size and unit, price and platform; 100 products and 209 price rows. |
| Notification | One row per recipient with read state. |

Indexes support the most frequent queries: expenses by group and date, groups by member, transactions by user and date, due recurring templates by next run date, and unread notifications by user.

## 4.3 Expense Split Calculation

All split methods share one rounding rule so that every expense balances exactly. For a total T shared by n people, each person first receives the floor of T / n, and the remainder r is assigned to the payer:

$$share_i = \lfloor T / n \rfloor,\ r = T - n \cdot \lfloor T / n \rfloor,\ share_payer = \lfloor T / n \rfloor + r$$

For example, Rs 100 split among three people gives 34, 33 and 33, with the extra rupee assigned to the payer. Percentage splits use the floor of T × p / 100 for each person and assign the remainder in the same way. Exact splits must sum to the total, and line-item splits divide each item among the people who shared it and require the items to sum to the total. The calculation module is pure and is checked twice more: by the controller before saving and by a validation hook in the database model.

## 4.4 Settlement Algorithm (Min-Cash-Flow)

### *4.4.1 Net balance*

For each member u of a group, the net balance is computed from all non-deleted expenses and all settlement payments already marked as paid:

$$net(u) = \Sigma\ paid(u) - \Sigma\ owed(u) + \Sigma\ settled_out(u) - \Sigma\ settled_in(u)$$

A positive net means the group owes the member (a creditor); a negative net means the member owes the group (a debtor). Because every rupee paid is owed by someone, the nets always sum to zero; the algorithm verifies this and refuses to run otherwise, so a defect elsewhere can never create or lose money.

### *4.4.2 Greedy matching*

Figure 4.3 shows the algorithm as a flowchart, and the pseudocode is given below.

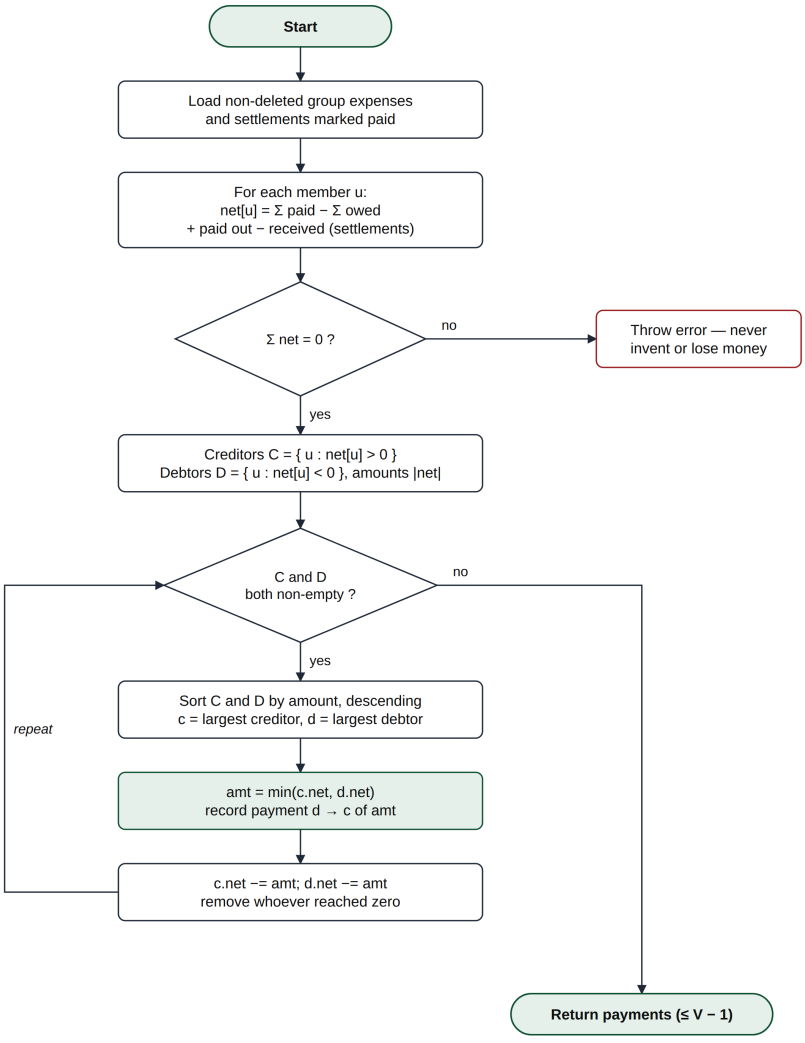



**Figure 4.3:** Flowchart of the Min-Cash-Flow settlement algorithm

```
MIN-CASH-FLOW(net)
  C ← { (u, net[u]) : net[u] > 0 }          // creditors
  D ← { (u, −net[u]) : net[u] < 0 }         // debtors
  if Σ C ≠ Σ D then error "balances do not net to zero"
  payments ← [ ]
  while C ≠ ∅ and D ≠ ∅ do
      sort C and D by amount, descending
      c ← C[0];  d ← D[0]
      amt ← min(c.amount, d.amount)
      append (d.user → c.user, amt) to payments
      c.amount ← c.amount − amt;  d.amount ← d.amount − amt
      remove c from C if c.amount = 0
      remove d from D if d.amount = 0
  return payments
```

### *4.4.3 Correctness and bound*

**Termination and bound.** In every iteration, amt equals the smaller of the two amounts, so at least one of the two members reaches zero and leaves the pool. After k payments at least k members have left. Since the balances sum to zero, when only one member remains that member's balance must also be zero. Therefore the algorithm stops after at most V − 1 payments for V members with non-zero balances [1].

**Correctness.** Each payment reduces a debtor's debt and a creditor's credit by the same amount, so the sum of balances stays zero and every amount stays an integer. When the loop ends, both lists are empty and every balance is exactly zero.

**Complexity.** There are at most V − 1 iterations and each sorts at most V entries, giving $O(V^2 \log V)$ time and O(V) space. For groups of up to a few dozen members this is instantaneous; a binary heap would reduce it to $O(V \log V)$ for very large groups.

**Optimality.** The greedy result is not always the absolute minimum: when a subset of members already nets to zero among themselves, fewer payments may exist. Computing the true minimum is NP-hard [1], [2]; the V − 1 bound with polynomial running time is the accepted practical trade-off.

### *4.4.4 Worked example*

The demonstration group "Murree Trip" has five members and seven expenses totalling Rs 49,600. Table 4.2 shows the net balances computed by the system and Table 4.3 shows each iteration of the algorithm.

**Table 4.2:** Net balances of the Murree Trip group

| Member | Net balance (Rs) | Role |
|---|---|---|
| Sara Khan | +11,480 | Creditor |
| Bilal Ahmed | +7,580 | Creditor |
| Azeem Shahid | −3,520 | Debtor |

| Member | Net balance (Rs) | Role |
|---|---|---|
| Hamza Tariq | −7,420 | Debtor |
| Ali Raza | −8,120 | Debtor |
| **Total** | **0** | |

**Table 4.3:** Iterations of Min-Cash-Flow on the Murree Trip group

| Step | Largest creditor | Largest debtor | Payment and remainder |
|---|---|---|---|
| 1 | Sara +11,480 | Ali −8,120 | Ali → Sara Rs 8,120; Sara +3,360, Ali settled |
| 2 | Bilal +7,580 | Hamza −7,420 | Hamza → Bilal Rs 7,420; Bilal +160, Hamza settled |
| 3 | Sara +3,360 | Azeem −3,520 | Azeem → Sara Rs 3,360; Sara settled, Azeem −160 |
| 4 | Bilal +160 | Azeem −160 | Azeem → Bilal Rs 160; both settled |

The group is settled in four payments, which equals the bound $V - 1 = 4$. Repaying each share of each bill individually would have required 20 separate transfers, so the optimiser saves 16 transfers.

## 4.5 Receipt Processing Pipeline

Figure 4.4 shows the sequence of interactions when a receipt is scanned. The upload request returns HTTP 202 (Accepted) immediately, and extraction runs in the background while the client polls for the result. The vision model is called with **structured output**: the response must match a fixed schema (store, date, items with name, quantity and line price, and total), so it cannot return free text or malformed JSON. The prompt fixes the domain rules: whole rupees, line totals rather than unit prices, subtotal and tax rows skipped, and null rather than a guess for unreadable values. If the call fails for any reason, Tesseract.js produces the same structure from raw text using line-pattern rules, and the receipt records which engine was used.

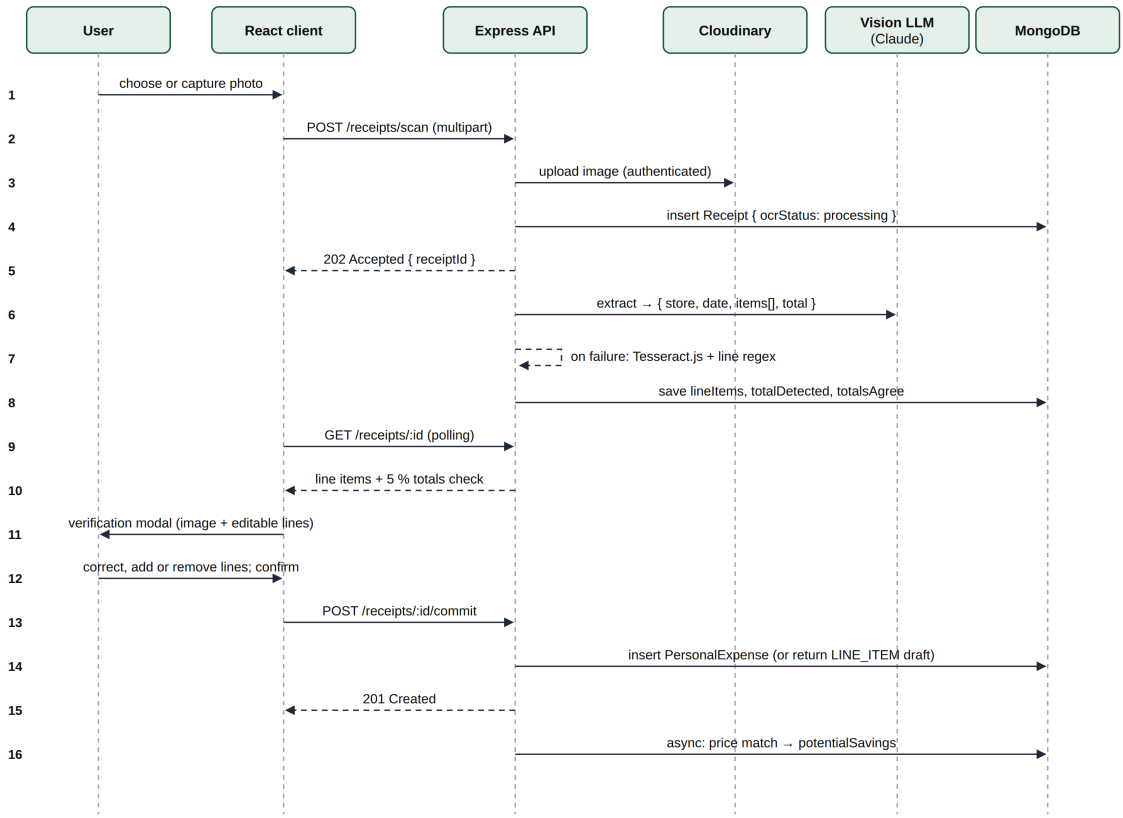



**Figure 4.4:** Sequence diagram of receipt scanning and verification

After extraction, the sum of the line prices is compared with the printed total; a difference above 5% produces a warning that names both values. Nothing is written as a transaction until the user confirms the lines in the verification dialog. Committing to a group does not create the expense; it returns a line-item draft so the user still chooses who shared each item.

## 4.6 Price Matching and Savings Suggestions

Each verified line item is matched against the benchmark collection in four steps:

1. **Normalisation** — the name is lower-cased and pack sizes, units, punctuation and filler words are removed, so "COOKING OIL 3LTR @" and "Cooking Oil 3 Litre" produce the same key.
2. **Alias lookup** — an indexed exact match against known receipt spellings, for example "anday" → Eggs (dozen) or "surf excel" → Detergent 1 kg.
3. **Fuzzy match** — otherwise the Dice coefficient [5] is computed, and a match is accepted only at 0.8 or above.
4. **Size check** — pack sizes are parsed separately (kg ↔ g, L ↔ ml) and must agree within 2%, so a 5 kg bag is never compared with a 1 kg bag.

$$Dice(a, b) = 2 \cdot |bigrams(a) \cap bigrams(b)| \,/\, ( |bigrams(a)| + |bigrams(b)| )$$

Among matching products, the cheapest platform is selected; if the user paid more, the saving (multiplied by quantity) is recorded and up to three cheaper alternatives are attached to the transaction. Matching runs after the save has been acknowledged, so it never delays the user.

## 4.7 Security Design

Authentication uses two tokens with different lifetimes and storage (Table 4.4). Figure 4.5 shows sign-in, transparent token refresh and reuse detection.

**Table 4.4:** Token design

| Token | Lifetime | Storage | Purpose |
|---|---|---|---|
| Access token (JWT) | 15 minutes | Browser memory only (never localStorage) | Sent as a Bearer header with every API request |
| Refresh token | 7 days | HttpOnly, SameSite=Strict, Secure cookie scoped to /api/v1/auth; only its hash stored server-side | Obtains a new access token; rotated on every use |

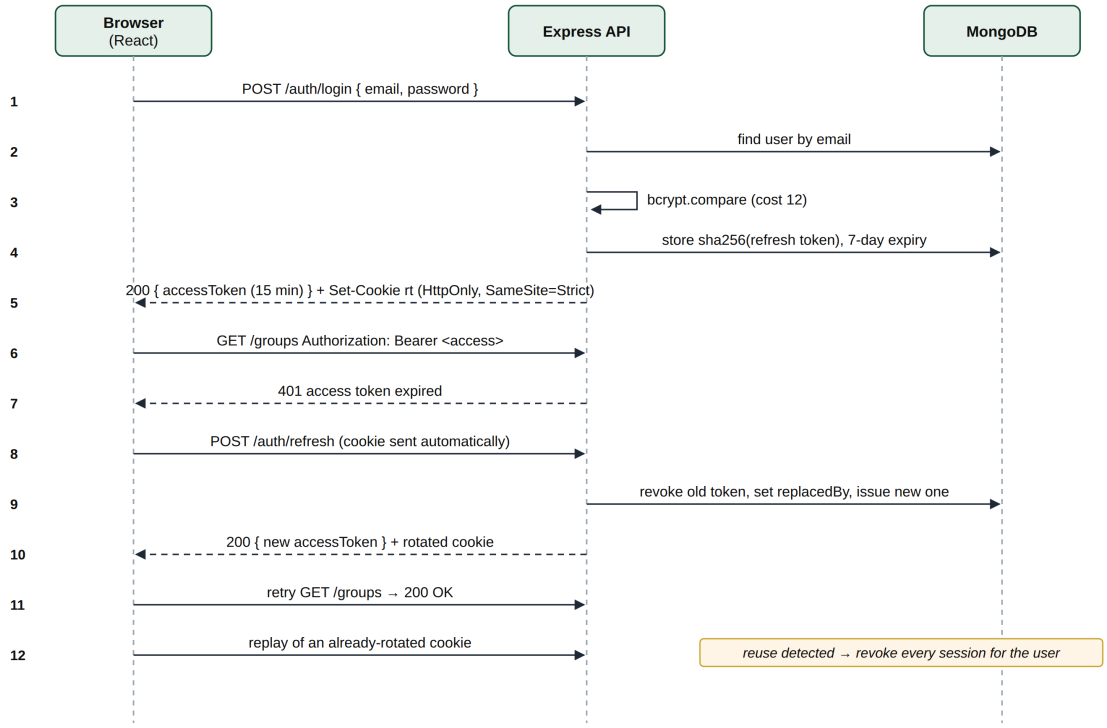



**Figure 4.5:** Sequence diagram of sign-in, token refresh and reuse detection

If a refresh token that has already been rotated is presented again, it can only be a copy, so all of that user's sessions are revoked. Further controls include bcrypt hashing at cost 12 [8]; identical responses for unknown emails and wrong passwords; single-use password reset tokens stored as SHA-256 hashes with a 30-minute expiry; Zod validation of every

request body, parameter and query; per-route and global rate limits; Helmet security headers; CORS restricted to the client origin; private, signed receipt image URLs; and a start-up guard that refuses to run in production with missing, weak or placeholder secrets. These controls address the OWASP categories of broken access control, cryptographic failures, injection and authentication failures [9].

## 4.8 API Design

The API exposes 60 REST endpoints under the prefix `/api/v1`, grouped by resource (authentication, groups, expenses, settlements, personal transactions and budgets, receipts, reports and notifications, categories and users). Every response uses one of two envelopes:

```
{ "success": true,  "data": { ... } }
{ "success": false, "error": { "code": "SPLIT_INVALID", "message": "You're Rs 50
short" } }
```

Machine-readable error codes (for example `NOT_A_MEMBER`, `TOKEN_REUSED`, `SETTLEMENT_IN_PROGRESS`) let the client react precisely, while the human-readable message is shown to the user unchanged. The complete endpoint list is given in Appendix A.

## 4.9 User Interface Design

The interface uses a clean, card-based layout with a fixed top navigation (Dashboard, Groups, Personal, Scan and Reports) and a notification bell. Colour carries meaning consistently: green for money owed to the user or within budget, amber for budgets above 80%, and red for debts and overspending. Every list implements loading, empty and error states; destructive actions ask for confirmation; and amounts are always formatted as "Rs 4,200". Layouts collapse to a single column on narrow screens, and wide tables scroll horizontally within their cards.

# CHAPTER 5
# IMPLEMENTATION

This chapter describes the tools, project structure and implementation of the main modules, and presents the user interface.

## 5.1 Technology Stack

**Table 5.1:** Technologies used

| Layer | Technology | Role in the system |
|---|---|---|
| Frontend | React 19, Vite | Component-based single-page application with fast development builds |
| Frontend | React Router | Client-side routing across 16 pages with protected routes |
| Frontend | Tailwind CSS | Utility-first, responsive styling |
| Frontend | Recharts, Lucide | Charts on the Reports page; icon set |
| Frontend | Axios | HTTP client with interceptors for tokens and silent refresh |
| Backend | Node.js, Express 5 | REST API server and middleware pipeline |
| Database | MongoDB, Mongoose | Document storage, aggregation pipelines, schemas and validation |
| Validation | Zod | Schema validation of every request |
| Security | jsonwebtoken, bcryptjs, Helmet, express-rate-limit | Tokens, password hashing, headers and rate limiting |
| Identity | Google Identity Services / google-auth-library | Google OAuth 2.0 sign-in |
| AI / OCR | Anthropic Claude vision (SDK), Tesseract.js | Structured receipt extraction and offline fallback |
| Files | Multer, Cloudinary | Upload handling and private image storage |
| Jobs | node-cron | Nightly recurring-transaction job (02:00) |
| Exports | json2csv, ExcelJS, PDFKit | CSV, XLSX and PDF generation |
| Email | Nodemailer | Password reset and invitation emails |
| Testing | Vitest, Supertest, mongodb-memory-server | Unit, API and property-based tests on an in-memory database |
| Hosting | MongoDB Atlas, Render, Vercel | Database, API and client hosting |

## 5.2 Project Structure

The code is organised as a monorepo with separate client and server packages. The server contains approximately 4,600 lines of application code and 3,000 lines of tests; the client contains approximately 4,700 lines across 16 pages and 23 reusable components.

```
smartsplit/
├── client/                 React + Vite application
│   └── src/
│       ├── pages/          one component per route (16)
│       ├── components/     reusable UI (23)
│       ├── api/            Axios instance and API functions
│       └── context/        AuthContext, CategoriesContext
└── server/                 Express API
    └── src/
        ├── models/         Mongoose schemas (12)
        ├── routes/         routers + Zod schemas per resource
        ├── controllers/    request handlers
        ├── services/       settlement, splitCalculator, balances, ocr,
        │                   priceMatch, recurring, reports, token, ...
        ├── middleware/     auth, membership, validate, rate limits, errors
        └── tests/          Vitest + Supertest suites (15 files)
```

## 5.3 Backend Implementation

### *5.3.1 Settlement service*

The settlement service implements the algorithm of Section 4.4 as a pure function. Its core loop is shown below.

```
while (creditors.length && debtors.length) {
  creditors.sort(byLargest);
  debtors.sort(byLargest);

  const creditor = creditors[0];
  const debtor = debtors[0];
  const amount = Math.min(creditor.net, debtor.net);

  payments.push({ from: debtor.userId, to: creditor.userId, amount });

  creditor.net -= amount;
  debtor.net -= amount;

  // At least one of the two is now square and leaves the pool.
  if (creditor.net === 0) creditors.shift();
  if (debtor.net === 0) debtors.shift();
}
```

The same net balances are also computed inside MongoDB with an aggregation pipeline ($unwind and $group over the paidBy and splits arrays, combined with a $facet), which is used by the live routes for efficiency [12]. An automated test runs both implementations on the same ledger and asserts identical results, preventing the two from drifting apart.

### *5.3.2 Split calculator*

The split calculator distributes an integer total with the floor-and-remainder rule:

```
function distribute(total, userIds, preferredUserId) {
  const headCount = userIds.length;
  const base = Math.floor(total / headCount);
  const shares = new Map(userIds.map((id) => [String(id), base]));

  const leftover = total - base * headCount;
  if (leftover > 0) {
    const target = preferredUserId && shares.has(String(preferredUserId))
      ? String(preferredUserId) : String(userIds[0]);
    shares.set(target, shares.get(target) + leftover);
  }
  return shares;
}
```

### *5.3.3 Authentication and authorisation*

The `requireAuth` middleware verifies the Bearer access token and loads the user. The `requireMember` middleware loads the group from the URL identifier and looks up the caller's own active membership using the authenticated user identifier only; a non-member receives HTTP 403 and an unknown group HTTP 404. `requireAdmin` additionally checks the admin role. Refresh-token rotation with reuse detection is implemented as follows:

```
const existing = await RefreshToken.findOne({ tokenHash: hash(token) });
if (!existing) return { error: 'INVALID' };

// A rotated token presented again is evidence the cookie leaked.
if (existing.revokedAt && existing.replacedBy) {
  await RefreshToken.updateMany({ userId: existing.userId, revokedAt: null },
                                { revokedAt: new Date() });
  return { error: 'REUSED' };
}
if (existing.revokedAt || existing.expiresAt < new Date()) return { error:
'INVALID' };

const next = await issueRefreshToken(existing.userId);
existing.revokedAt = new Date();
existing.replacedBy = hash(next.token);
await existing.save();
```

### *5.3.4 Receipt OCR and price matching*

Uploads are received in memory by Multer, limited to 8 MB and image types, and stored on Cloudinary as authenticated assets. The OCR service calls the vision model through the Anthropic SDK with a Zod-defined output format, so the parsed result is already validated. On any failure, Tesseract.js recognises the text and a regular expression extracts

lines such as "Cooking Oil 3L 1,745" and "2 x Milk 220". The price-matching service implements normalisation, alias lookup, the Dice coefficient (shown below) and size parsing.

```
export function similarity(leftText, rightText) {
  if (leftText === rightText) return 1;
  if (leftText.length < 2 || rightText.length < 2) return 0;
  const first = bigrams(leftText);
  const second = bigrams(rightText);
  let shared = 0;
  for (const [pair, count] of first) shared += Math.min(count, second.get(pair)
|| 0);
  return (2 * shared) / (leftText.length - 1 + (rightText.length - 1));
}
```

#### *5.3.5 Recurring transactions, reports and notifications*

A node-cron job runs every night at 02:00 and calls `runDueRecurring(now)`, which finds every template whose next run date has passed, writes one entry per missed period (so a server that was offline for three months catches up with three entries) and advances the schedule; a 120-iteration guard prevents runaway loops. Reports are computed with aggregation pipelines and exported with json2csv, ExcelJS and PDFKit. Notifications are written as one row per recipient on four events; the notification function catches its own errors so that a failure can never cancel the money operation that triggered it.

## 5.4 Frontend Implementation

The client is built from function components and hooks. An `AuthContext` holds the signed-in user and keeps the access token in memory; on start-up it attempts a refresh so a page reload keeps the session. A shared Axios instance attaches the token, unwraps the response envelope and, on HTTP 401, performs a single refresh shared by all concurrent requests before retrying them. Pages never call Axios directly; they use typed functions in the `api` folder. A `useAsync` hook and a shared `States` component provide loading, empty and error states for every list, and the Reports page is lazy-loaded to keep the initial bundle small.

## 5.5 User Interface

Figures 5.1 to 5.12 show the main screens of the application running with the demonstration data.

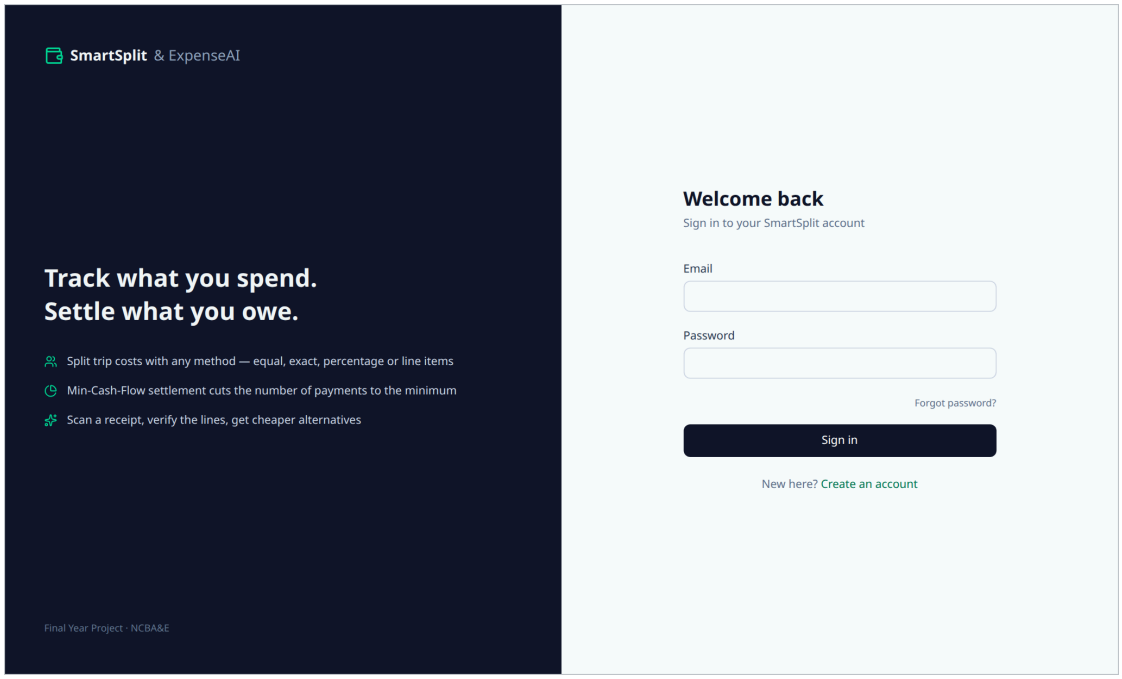



**Figure 5.1:** Sign-in page

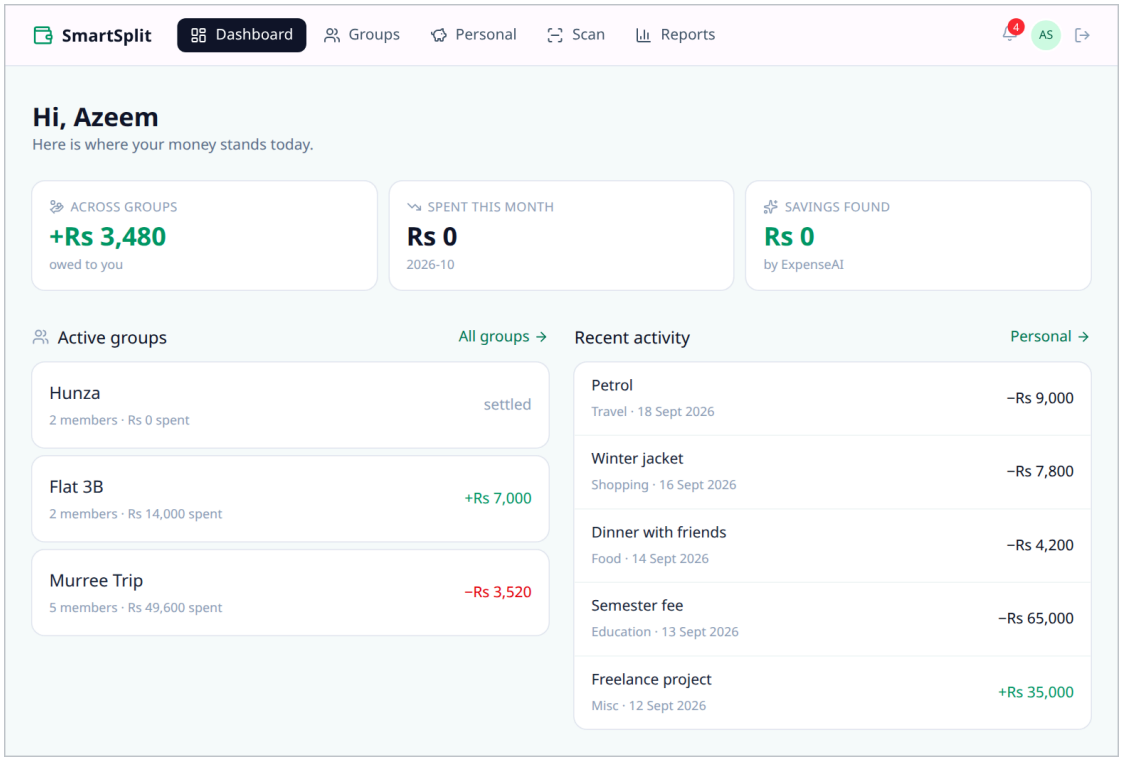



**Figure 5.2:** Dashboard combining both workspaces

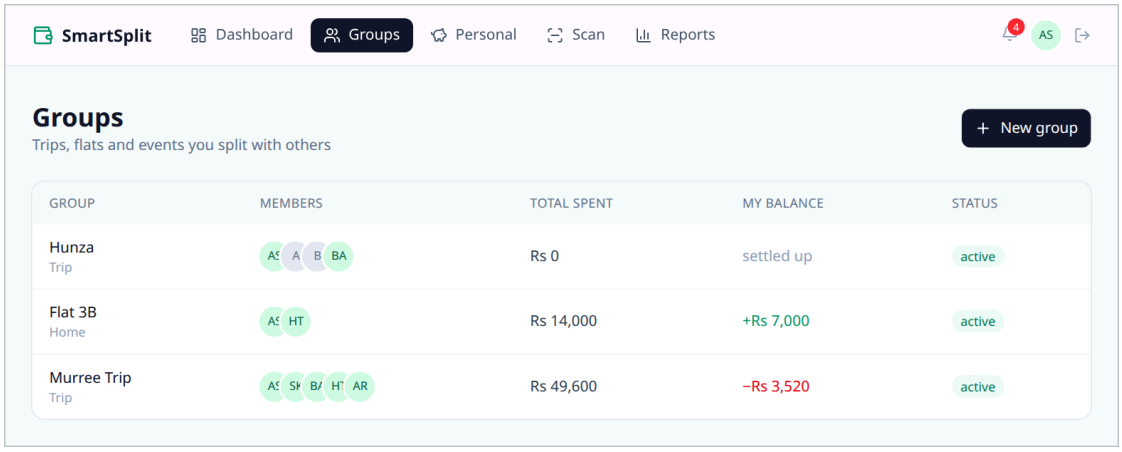



**Figure 5.3:** Groups list with total spent and personal balance

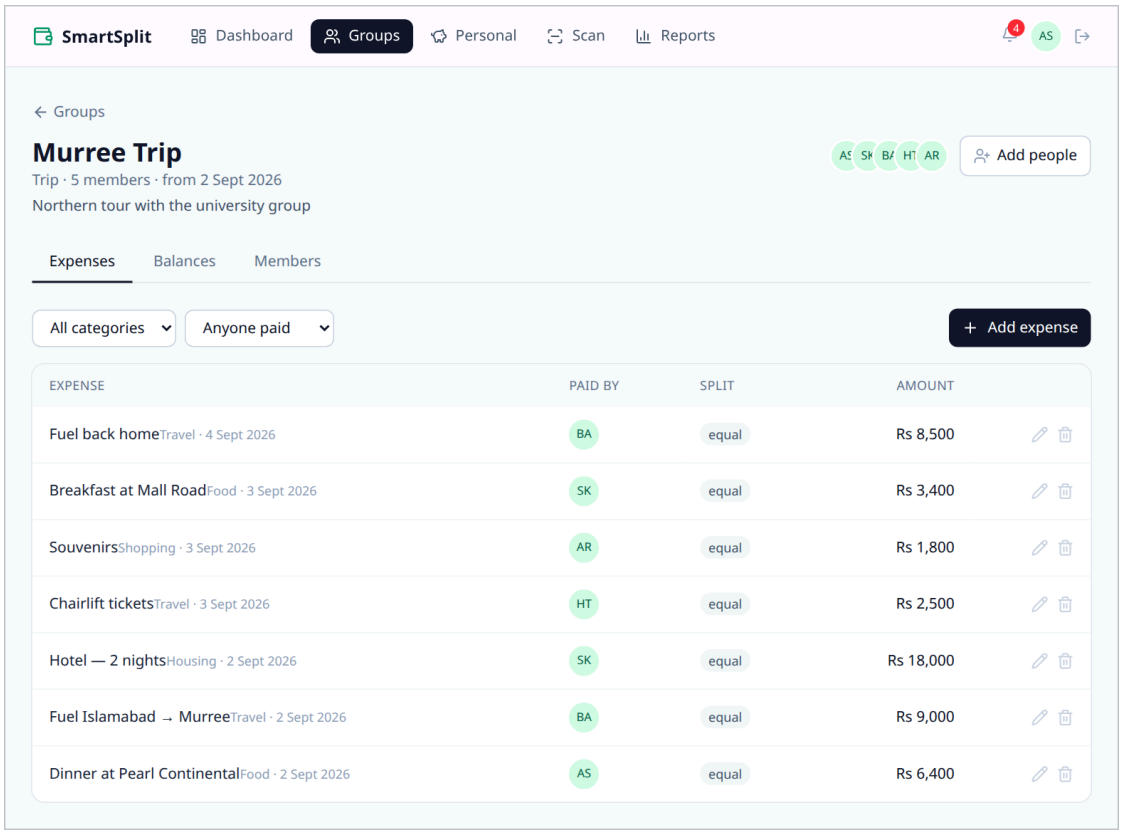



**Figure 5.4:** Group expenses of the Murree Trip

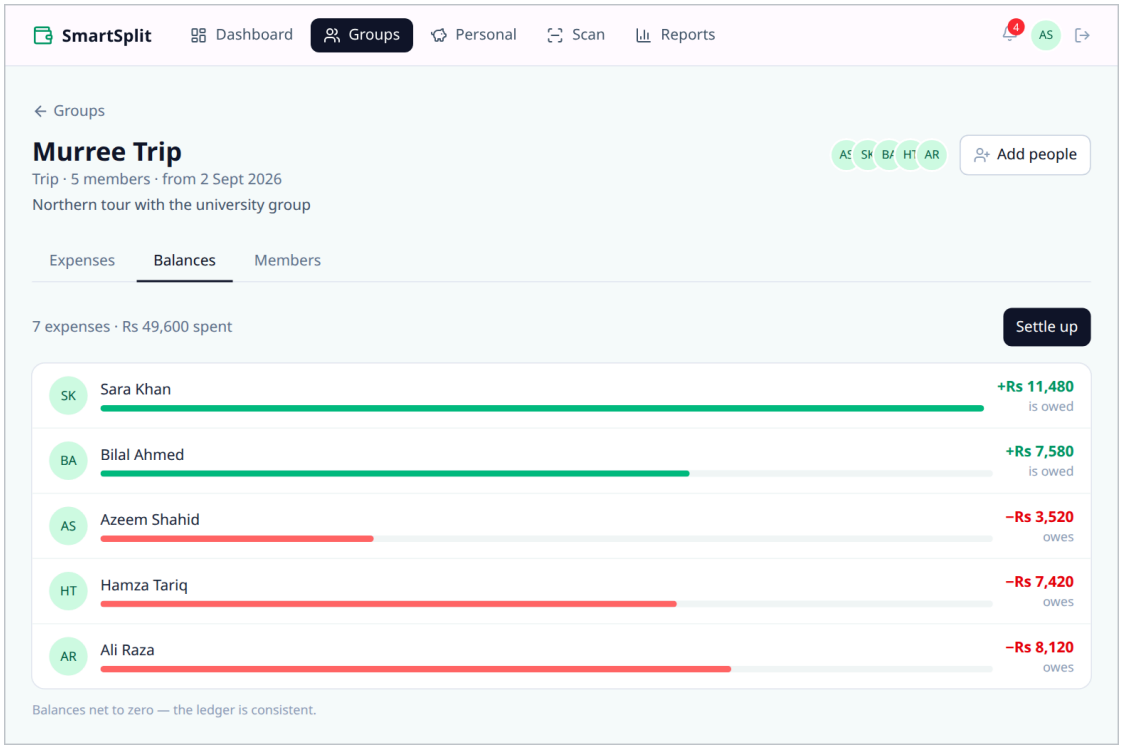



**Figure 5.5:** Group balances, which always net to zero

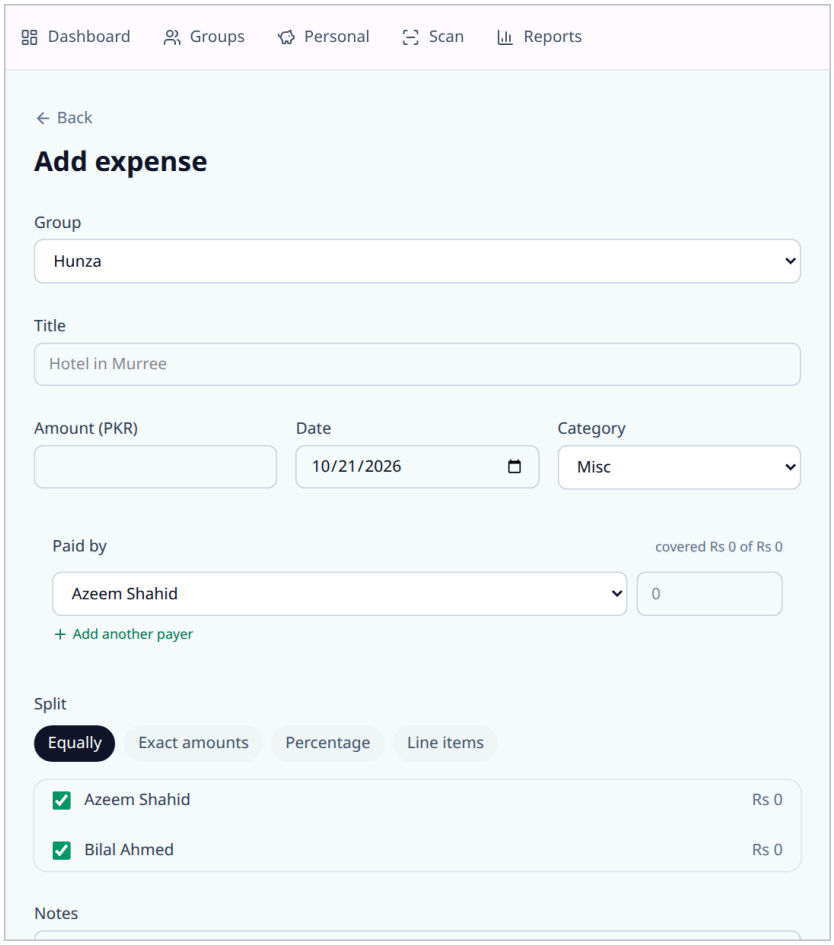



**Figure 5.6:** Add Expense form with multi-payer rows and split methods

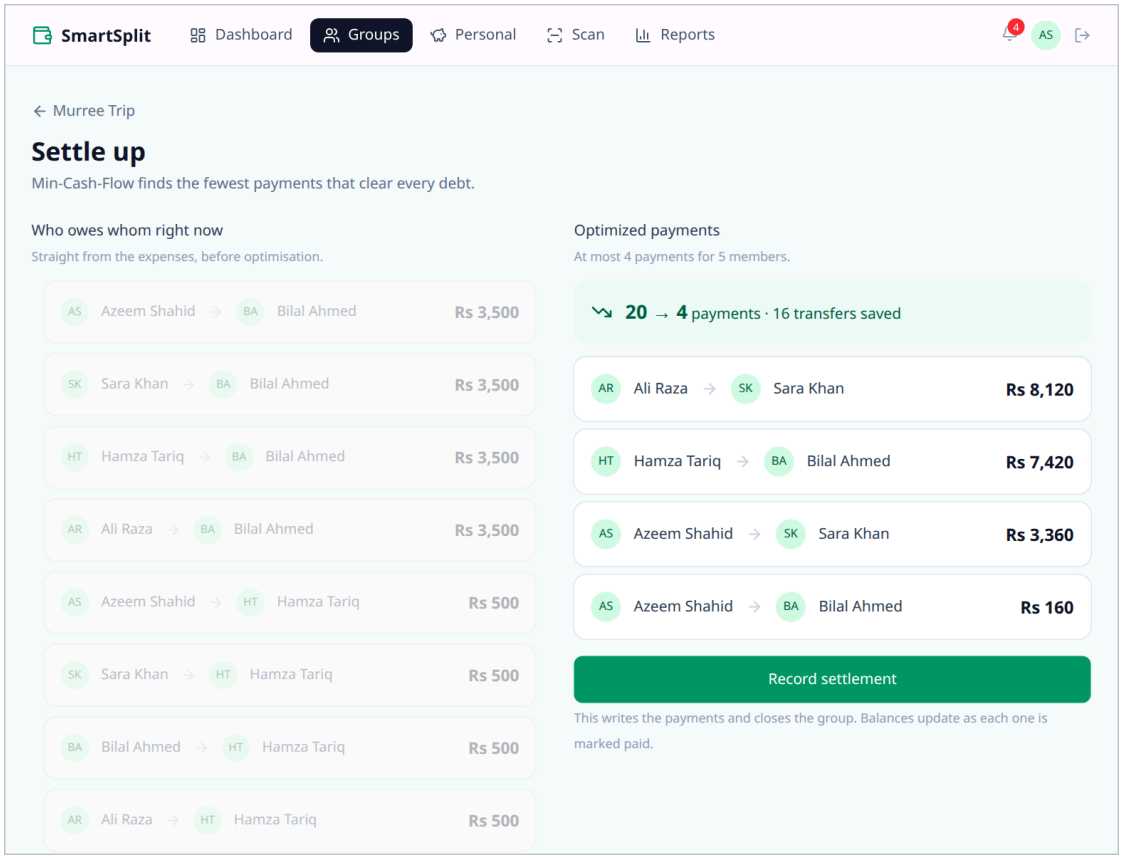



**Figure 5.7:** Settle Up after optimisation: 20 naive debts reduced to 4 payments

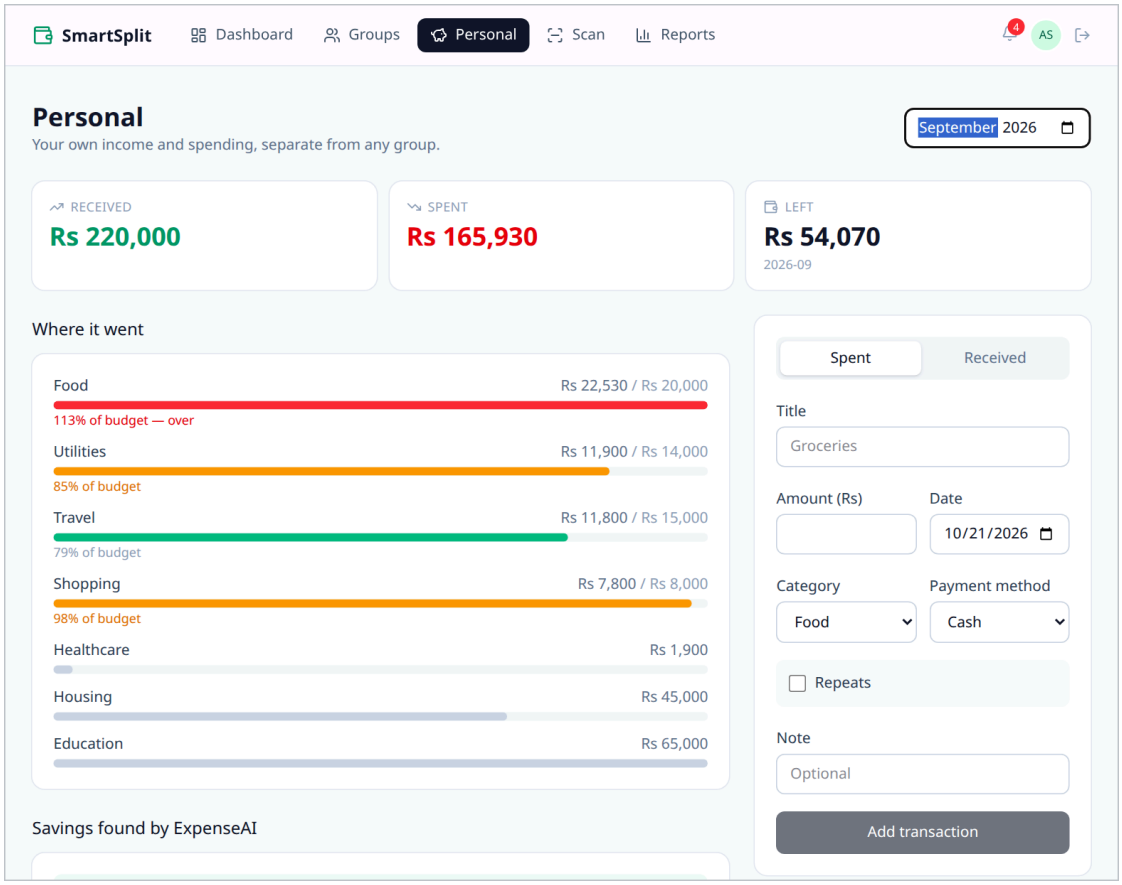



**Figure 5.8:** Personal workspace with budget bands and transaction form

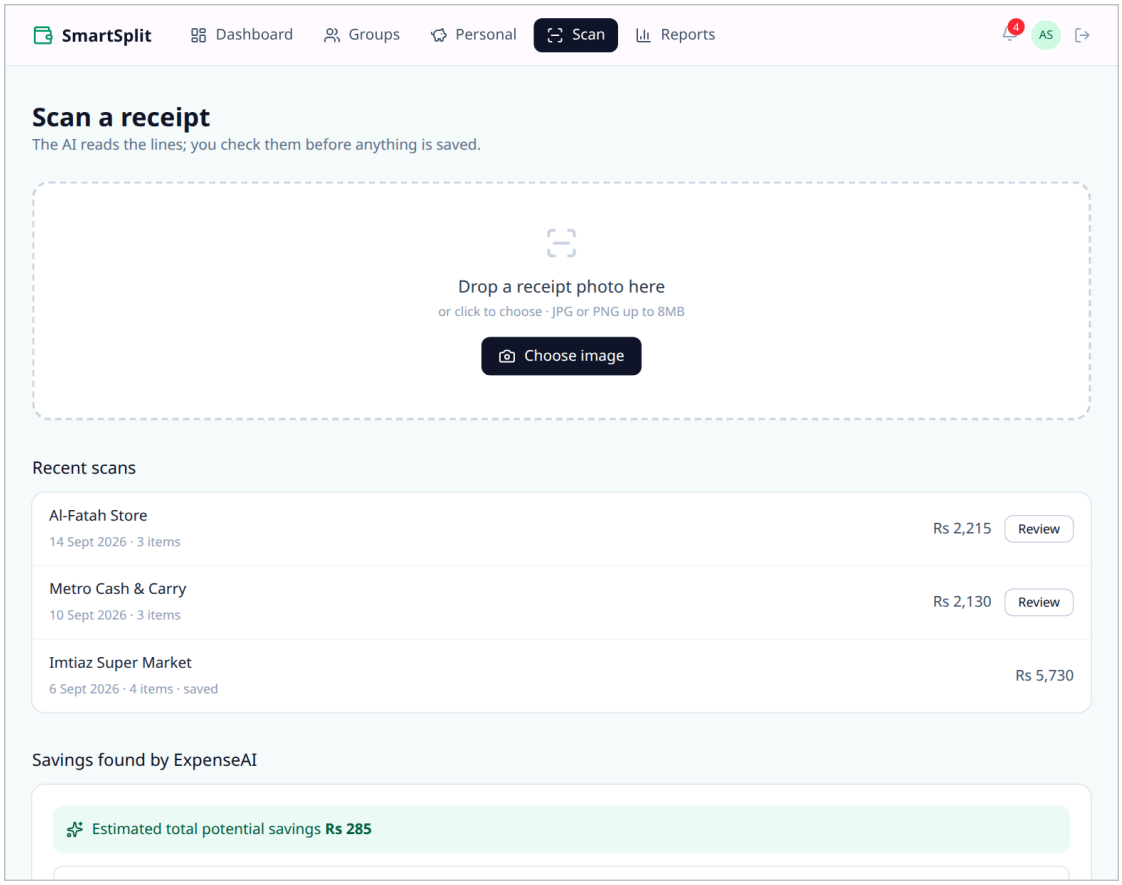



**Figure 5.9:** Receipt scanning page with recent scans and savings found

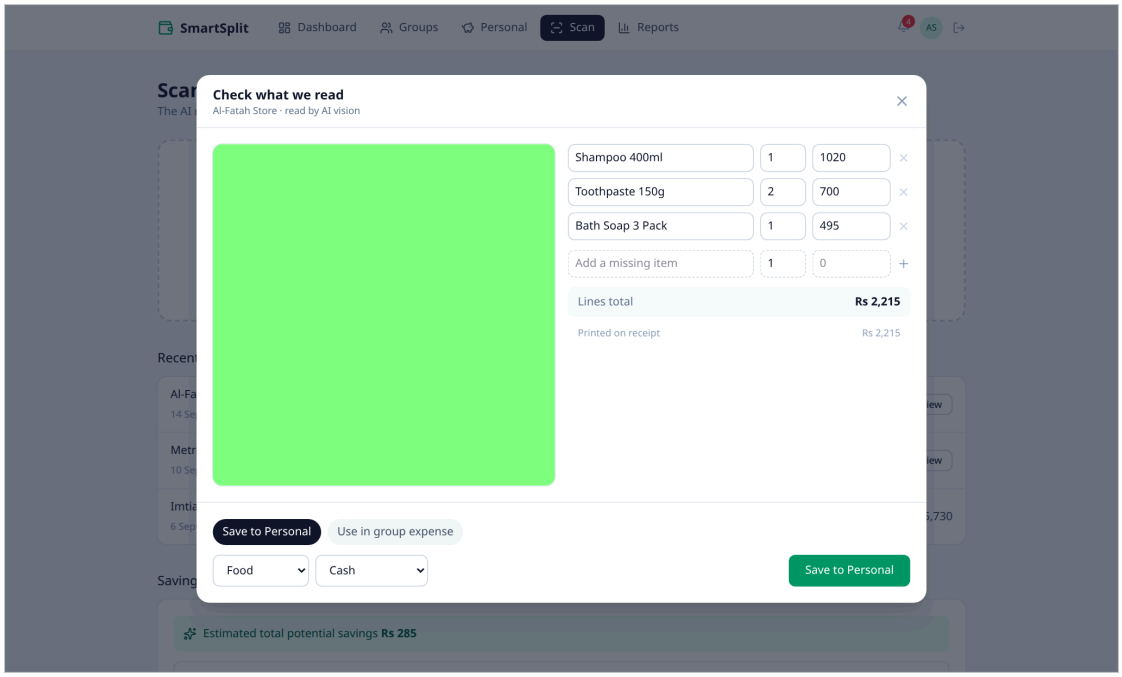



**Figure 5.10:** Human-in-the-loop verification dialog (demonstration data uses a placeholder image)

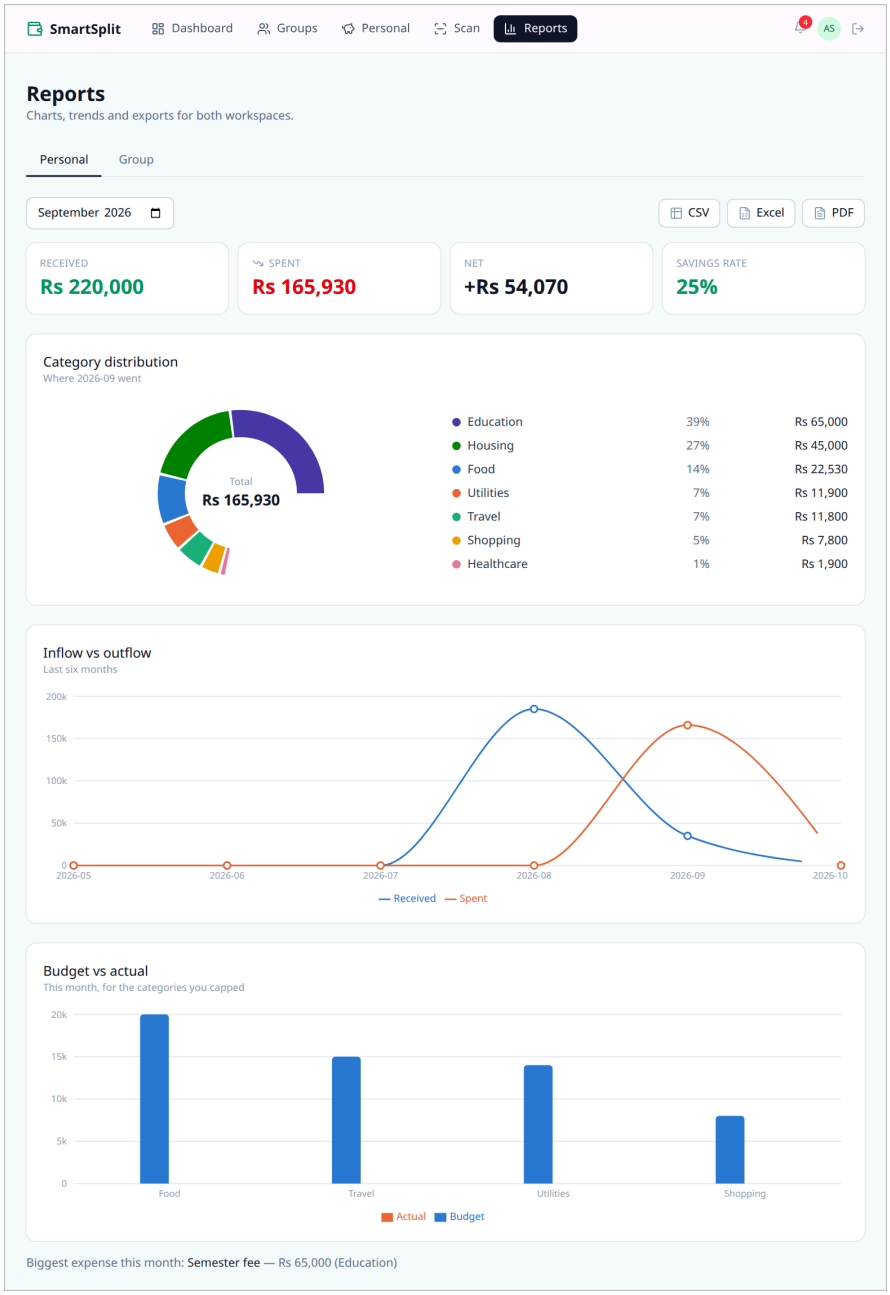



**Figure 5.11:** Personal reports: category distribution, inflow vs outflow, budget vs actual

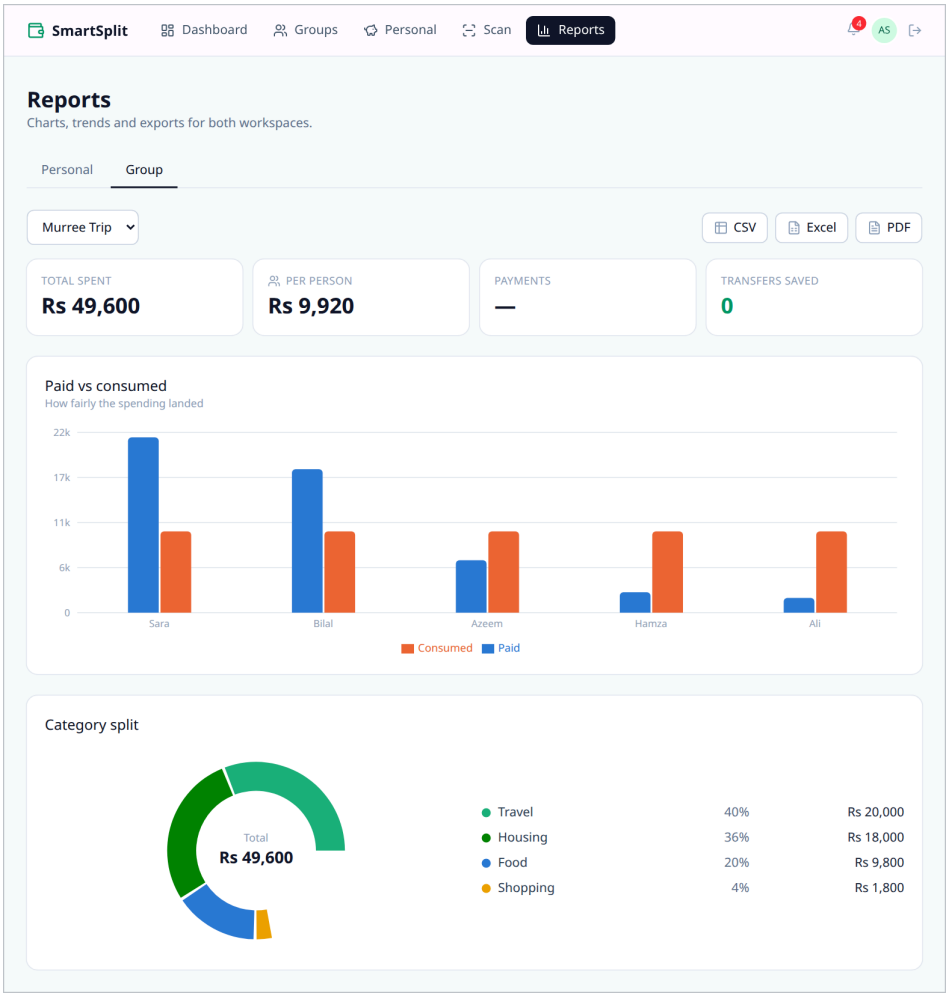



**Figure 5.12:** Group report: paid vs consumed per member and category split

## 5.6 Deployment

The system is deployed in three parts: the database on a MongoDB Atlas cluster, the API on Render (root directory `server`, health check `/api/v1/health`), and the client on Vercel (root directory `client`) with a single-page-application rewrite so that deep links such as `/groups/:id` load correctly. All secrets are supplied as environment variables. A seed script (`npm run seed`) creates five demonstration users, two groups including the Murree Trip, twelve personal transactions, budgets, three scanned receipts and the price benchmark.

# CHAPTER 6
# TESTING AND EVALUATION

This chapter describes the testing strategy, summarises the automated test suite, presents selected test cases and the results of security review and defect tracking, and evaluates the settlement engine.

## 6.1 Testing Strategy

- **Unit testing** — pure functions (split calculator, settlement, price matching, environment guard) are tested in isolation with Vitest.
- **API (integration) testing** — Supertest sends real HTTP requests to the Express application connected to an in-memory MongoDB instance (mongodb-memory-server), verifying status codes, response envelopes, authorisation and database effects.
- **Property-based testing** [18] — the settlement engine is tested on hundreds of randomly generated groups to confirm that its guarantees hold for all inputs, not only hand-picked examples. A fixed random seed makes every failure reproducible.
- **Manual and exploratory testing** — every screen was exercised in the browser with the demonstration data, including narrow screen widths.

## 6.2 Test Suite Summary

The suite contains 229 tests in 15 files. All 229 tests passed on 21 October 2026 (Table 6.1).

**Table 6.1:** Automated test results by file

| Test file | Area covered | Tests | Passed |
|---|---|---|---|
| auth.test.js | Register, login, refresh rotation, reuse detection, reset | 18 | 18 |
| profile.test.js | Profile update and password change | 10 | 10 |
| env.test.js | Production environment guard | 7 | 7 |
| health.test.js | Health route and 404 envelope | 2 | 2 |
| groups.test.js | Groups, invites, join links, admin actions | 17 | 17 |
| membership.test.js | Direct add, invite, request-and-approve flows | 25 | 25 |
| splitCalculator.test.js | Four split methods and rounding rules | 22 | 22 |
| expenses.test.js | Group expense API, filters, balances | 16 | 16 |
| settlement.test.js | Min-Cash-Flow algorithm and property tests | 12 | 12 |

| Test file | Area covered | Tests | Passed |
|---|---|---|---|
| settlementApi.test.js | Preview, record, mark paid, consistency | 10 | 10 |
| personal.test.js | Transactions, budgets, recurring engine, summary | 16 | 16 |
| categories.test.js | Built-in and custom categories | 19 | 19 |
| receipts.test.js | Scan pipeline, verification, commit | 18 | 18 |
| priceMatch.test.js | Normalisation, similarity, size awareness | 18 | 18 |
| reports.test.js | Reports, CSV/XLSX/PDF exports, notifications | 19 | 19 |
| **Total** | | **229** | **229** |

## 6.3 Selected Test Cases

**Table 6.2:** Selected test cases

| ID | Test case | Expected result | Result |
|---|---|---|---|
| TC-01 | Split Rs 100 equally among three, payer included | Shares 34 / 33 / 33, payer receives 34 | Pass |
| TC-02 | Exact split totalling Rs 50 less than the bill | 400 with "You're Rs 50 short" | Pass |
| TC-03 | Percentages totalling 90% | 400 with "Percentages add up to 90%, not 100%" | Pass |
| TC-04 | Fractional amount (Rs 10.5) | 400 validation error, nothing stored | Pass |
| TC-05 | Non-member requests group expenses | 403 NOT_A_MEMBER | Pass |
| TC-06 | Plain member attempts to remove a member | 403 NOT_ADMIN | Pass |
| TC-07 | Replay of an already-rotated refresh token | 401 TOKEN_REUSED and all sessions revoked | Pass |
| TC-08 | Forgot password for unknown vs known email | Byte-identical responses | Pass |
| TC-09 | Settle five-member reference group | Exactly 4 payments, all balances zero | Pass |
| TC-10 | 300 random groups of 2–10 members | Balances zero after payments; count ≤ V − 1 | Pass |
| TC-11 | Balances that do not net to zero | Algorithm throws, no payments invented | Pass |
| TC-12 | Second settlement while one is unpaid | 409 SETTLEMENT_IN_PROGRESS | Pass |
| TC-13 | Commit a receipt still processing | Refused; nothing written | Pass |
| TC-14 | Match "Basmati Rice 5kg" against 1 kg benchmark | No match (sizes differ) | Pass |
| TC-15 | Monthly recurring template overdue by three months | Three entries created, schedule advanced | Pass |

| ID | Test case | Expected result | Result |
|---|---|---|---|
| TC-16 | Excel and PDF exports | Valid ZIP (XLSX) and file starting with %PDF | Pass |
| TC-17 | Notifications collection unavailable | Expense creation still succeeds | Pass |

## 6.4 Property-Based Testing of Settlement

The strongest evidence for the settlement engine comes from property-based tests. In each of 300 rounds, a random group of 2 to 10 members and 1 to 6 expenses is generated through the real split calculator; 100 further rounds use multi-payer expenses. For every round the test asserts three properties: (1) applying the returned payments brings every balance to exactly zero; (2) the number of payments is at most V − 1; and (3) every payment amount is a positive integer. All 400 rounds pass.

## 6.5 Security Testing

All 38 routes that existed at the time of the security review were audited for authentication, validation and ownership checks. Four gaps were found and fixed (Table 6.3). A dependency audit (`npm audit`) reported zero vulnerabilities after a transitive dependency was pinned.

**Table 6.3:** Security review findings and fixes

| Gap | Risk | Fix |
|---|---|---|
| No global rate limit | Any authenticated endpoint could be flooded | Global limiter: 600 requests per 15 minutes |
| Unlimited receipt scans | Each scan calls a paid AI service | Scan limiter: 30 per hour |
| Permanent public image URLs | A leaked receipt link would work forever | Authenticated uploads; signed URLs valid for 1 hour |
| Proxy not trusted | All users behind the host proxy shared one rate-limit bucket | trust proxy enabled |

## 6.6 Defects Found and Fixed

**Table 6.4:** Notable defects found during testing

| Defect | Cause and fix |
|---|---|
| Phantom saving of Rs 1,470 on rice | Normalisation removed pack sizes, so 5 kg matched 1 kg. Fixed by parsing sizes separately and requiring them to agree. |
| Title-only edit wiped an expense split | Partial validation re-applied default values. Fixed by rebuilding missing split input from the stored splits. |
| Background price match clashed with user edits | Load-modify-save caused a version conflict. Fixed with an atomic update. |

| Defect | Cause and fix |
|---|---|
| Password account reported as having no password | The password hash was excluded from the query. Fixed with a response transform instead. |
| Unmatched routes returned 401 instead of 404 | Router-level authentication ran before the 404 handler. Fixed by applying authentication per route. |
| Personal page failed to render with a budget cap | A variable missed during a renaming refactor. Fixed and verified in the browser. |

## 6.7 Evaluation

Table 6.5 evaluates the system against its objectives.

**Table 6.5:** Evaluation against objectives

| Objective | Evidence | Status |
|---|---|---|
| Personal workspace with budgets and recurring entries | FR-05 to FR-10 implemented; 16 personal tests pass | Achieved |
| AI receipt scanning with fallback and verification | FR-11 to FR-14; 18 receipt tests pass | Achieved |
| Savings suggestions from benchmark prices | FR-15; 100 products, 209 prices; 18 tests pass | Achieved |
| Group workspace with four exact split methods | FR-16 to FR-20; 22 calculator and 16 expense tests pass | Achieved |
| Settlement in at most V − 1 payments | 400 property-test rounds; Murree Trip 20 → 4 payments | Achieved |
| Reports and exports | FR-24 and FR-25; CSV, XLSX and PDF verified | Achieved |
| Secure authentication and authorisation | Token rotation, reuse detection, membership checks, audit | Achieved |
| Automated verification | 229 of 229 tests passing | Achieved |

# CHAPTER 7
# CONCLUSION AND FUTURE WORK

## 7.1 Conclusion

This project delivered SmartSplit & ExpenseAI, a secure web application that brings personal finance management and group expense settlement together in one account for Pakistani users. Receipt photos are converted into verified transactions with the help of a vision language model, verified items are compared with local market prices to suggest savings, and group debts are settled by a Min-Cash-Flow engine that never needs more than $V - 1$ payments.

Three design decisions proved central to the system's reliability: storing money as integer rupees with a single rounding rule, recomputing balances from the underlying expenses instead of storing them, and keeping a human in the loop for every AI-extracted value. Together with server-side authorisation and a comprehensive automated test suite of 229 passing tests, including property-based tests of the settlement guarantees, they give strong confidence that every rupee in the system is accounted for exactly.

## 7.2 Limitations

- The greedy settlement guarantees at most $V - 1$ payments but is not always the absolute minimum, which is an NP-hard problem.
- Price benchmarks come from a fixed local collection rather than live retailer data.
- The application records payments but does not transfer money itself.
- OCR accuracy depends on photo quality; poor images require more manual correction.
- A single typo in a short product name can fall below the 0.8 similarity threshold; common misspellings are handled through aliases instead.
- On free hosting tiers the server sleeps when idle, so the first request after a pause is slow and the nightly job may run late.

## 7.3 Future Work

1. Live price collection from retailer websites as a decoupled background job, with the local collection as a cache.
2. Integration with JazzCash, Easypaisa and Raast payment APIs so that a settlement payment can be made directly from the app.
3. A native mobile application reusing the existing REST API.

4. Automatic category suggestions using machine learning on the user's past transactions.
5. Multi-currency groups for international travel with exchange-rate conversion.
6. An exact minimum-payment mode for small groups, using subset search, offered alongside the greedy method.

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# APPENDIX A: API ENDPOINT REFERENCE

All endpoints are prefixed with `/api/v1`. Every endpoint except registration, sign-in, token refresh, Google sign-in, password reset and the health check requires a valid access token; group endpoints additionally require active membership, and admin endpoints the admin role.

**Table A.1:** REST API endpoints

| Resource | Method | Path | Purpose |
|---|---|---|---|
| Auth | POST | `/auth/register` | Create an account |
| Auth | POST | `/auth/login` | Sign in with email and password |
| Auth | POST | `/auth/refresh` | Rotate refresh token, issue access token |
| Auth | POST | `/auth/logout` | Revoke the current session |
| Auth | GET | `/auth/me` | Current user |
| Auth | PATCH | `/auth/me` | Update profile |
| Auth | POST | `/auth/change-password` | Change password |
| Auth | POST | `/auth/google` | Google sign-in |
| Auth | POST | `/auth/forgot-password` | Email a reset link |
| Auth | POST | `/auth/reset-password/:token` | Set a new password |
| Users | GET | `/users/search` | Find users to add to a group |
| Groups | POST | `/groups` | Create a group |
| Groups | GET | `/groups` | List my groups with totals |
| Groups | GET | `/groups/:id` | Group details (member) |
| Groups | PATCH | `/groups/:id` | Update group (admin) |
| Groups | POST | `/groups/:id/members` | Add or invite a member (admin) |
| Groups | DELETE | `/groups/:id/members/:userId` | Remove a member (admin) |
| Groups | PATCH | `/groups/:id/members/:memberId/approve` | Approve a join request (admin) |

| Resource | Method | Path | Purpose |
|---|---|---|---|
| Groups | POST | `/groups/:id/members/:memberId/resend` | Resend an invite (admin) |
| Groups | POST | `/groups/:id/join-code/rotate` | Rotate the share code (admin) |
| Groups | POST | `/join/:inviteToken` | Accept an invite link |
| Groups | GET | `/join-request/:joinCode` | Preview a group by share code |
| Groups | POST | `/join-request/:joinCode` | Request to join |
| Expenses | POST | `/groups/:id/expenses` | Add a group expense |
| Expenses | GET | `/groups/:id/expenses` | List expenses (filters, pages) |
| Expenses | GET | `/groups/:id/balances` | Net balances by aggregation |
| Expenses | GET | `/expenses/:expenseId` | One expense |
| Expenses | PATCH | `/expenses/:expenseId` | Edit an expense |
| Expenses | DELETE | `/expenses/:expenseId` | Soft-delete an expense |
| Settlements | POST | `/groups/:id/settle/preview` | Compute payments (no write) |
| Settlements | POST | `/groups/:id/settle` | Record a settlement |
| Settlements | GET | `/groups/:id/settlements` | Payments and audit trail |
| Settlements | PATCH | `/settlements/:settlementId/pay` | Mark a payment paid |
| Personal | POST | `/transactions` | Add a transaction |
| Personal | GET | `/transactions` | List transactions (filters) |
| Personal | PATCH | `/transactions/:transactionId` | Edit a transaction |
| Personal | DELETE | `/transactions/:transactionId` | Delete a transaction |
| Personal | GET | `/personal/summary` | Monthly summary |
| Personal | GET | `/budgets` | List budgets |
| Personal | PUT | `/budgets` | Create or update a budget |
| Personal | DELETE | `/budgets/:budgetId` | Delete a budget |

| Resource | Method | Path | Purpose |
|---|---|---|---|
| Categories | GET | `/categories` | Built-in and custom categories |
| Categories | POST | `/categories` | Add a custom category |
| Categories | GET | `/categories/:categoryId/usage` | Usage before deletion |
| Categories | DELETE | `/categories/:categoryId` | Delete a custom category |
| Receipts | POST | `/receipts/scan` | Upload a receipt (202) |
| Receipts | GET | `/receipts` | List receipts |
| Receipts | GET | `/receipts/:receiptId` | Receipt with OCR result |
| Receipts | POST | `/receipts/:receiptId/items` | Add a line |
| Receipts | PATCH | `/receipts/:receiptId/items/:index` | Edit a line |
| Receipts | DELETE | `/receipts/:receiptId/items/:index` | Remove a line |
| Receipts | POST | `/receipts/:receiptId/commit` | Save to personal or group draft |
| Reports | GET | `/reports/personal/monthly` | Monthly personal report |
| Reports | GET | `/reports/personal/trends` | Six-month trends |
| Reports | GET | `/reports/groups/:id/summary` | Group summary report |
| Reports | GET | `/reports/export` | CSV, XLSX or PDF export |
| Notifications | GET | `/notifications` | Notification feed |
| Notifications | PATCH | `/notifications/:notificationId/read` | Mark one read |
| Notifications | PATCH | `/notifications/read-all` | Mark all read |
| System | GET | `/health` | Health and database status |

# APPENDIX B: USER MANUAL

This appendix explains how to perform the main tasks in the application.

**Table B.1:** Step-by-step guide to the main tasks

| Task | Steps |
|---|---|
| Create an account | Open the website and select "Create an account", or use "Sign in with Google". Enter name, email and a password of at least 8 characters. |
| Record a transaction | Open Personal. In the form, choose Spent or Received, enter title, amount, date, category and payment method, optionally tick "Repeats" for a weekly or monthly bill, and select "Add transaction". |
| Set a budget | On the Personal page, open the budgets editor, choose a category and enter a monthly cap. Bars turn amber at 80% and red at 100%. |
| Scan a receipt | Open Scan and drop a photo or select "Choose image". When reading finishes, check every line in the dialog, correct anything wrong, then select "Save to Personal" or "Use in group expense". |
| Create a group | Open Groups and select "New group". Enter a name, type and start date, and add members by email. |
| Join a group | Open an invite link received by email, or enter a share code and wait for an admin to approve the request. |
| Add a shared expense | In a group, select "Add expense". Enter title and amount, choose who paid (add more payers if needed), choose a split method and fill in the shares. Save becomes available when everything adds up. |
| Settle up | In a group, open Balances and select "Settle up", then "Simplify with Min-Cash-Flow". Review the payments and select "Record settlement". After paying through JazzCash, Easypaisa, Raast, bank or cash, select "Mark paid". |
| Reports and exports | Open Reports, choose the Personal or Group tab and the month, and use the CSV, Excel or PDF buttons to download. |

# APPENDIX C: INSTALLATION GUIDE

The following commands install and run the system locally. Node.js 20 or later and a MongoDB instance (local or Atlas) are required.

```
git clone <repository-url> smartsplit && cd smartsplit
npm run install:all
cp server/.env.example server/.env      # set MONGO_URI, JWT secrets, API keys
cp client/.env.example client/.env      # set VITE_API_URL
npm run seed                            # optional: demo data (erases the
database)
npm run dev                             # API on :5000, client on :5173
npm test                                # run the 229 automated tests
```

Required environment variables on the server are `MONGO_URI`, `JWT_ACCESS_SECRET`, `JWT_REFRESH_SECRET` and `CLIENT_URL`. Optional variables enable Google sign-in (`GOOGLE_CLIENT_ID`), the vision model (`ANTHROPIC_API_KEY`), Cloudinary (`CLOUDINARY_`*) and email (*`SMTP_`); without them the system falls back to Tesseract.js, inline images and console-printed email links, so it still runs completely offline.